# Amazon: paid growth and the cost of capacity

Full company review | November 3, 2026 | NASDAQ: AMZN | USD unless specified

I model a Q4 2027 rolling valuation of $319.49 per share. It applies the existing 20x operating-profit method to $175.02 billion of Q4 2027 through Q3 2028 operating earnings and 10,955.98 million starting-quarter diluted shares, including conditional acquisition and financing issuance. Against the November 2 regular-session close of $245.63, the modeled upside is 30.07%.

Cloud demand and commerce scale support the earnings path. Paid infrastructure, customer funding, depreciation, wages, supplier credit, tax timing and later equity issuance absorb a substantial part of that growth. The analytical score is 78/100, or High Conviction under the current framework. The protected Excel Base remains 82.

The central operating-cost uncertainty concerns the $8.77 billion additional Q4 guidance cost budget. The forecast repeats this seasonal allocation in later fourth quarters. Applying the same budget in every quarter lowers the Q4 2027 valuation to $268.96. Management has left the detailed composition and recurrence undisclosed.

| Reference | Current selection |
|---|---|
| Research date | November 3, 2026 |
| Latest reported period | Quarter ended September 30, 2026; release October 29 |
| Dated market reference | $245.63, November 2 regular session |
| Active valuation | $319.4934701679385 for Q4 2027 |
| Operating earnings / shares | $175,018.143542 million / 10,955.976249 million |
| Method | 20x current plus next three quarters operating profit |
| Analytical score / protected Excel Base | 78 / 82 |
| Major cost-persistence bound | $268.9624 for Q4 2027 |

Source: October 29 issuer results and Form 10-Q; October 29 and July 30 management calls; selected R6 financial model; verified November 2 TradingView daily bar.

# Reported earnings and the recurring cost anchor

Q3 sales were $201.944 billion and reported GAAP operating profit was $28.076 billion. Net income was $20.685 billion and diluted EPS was $1.89. The cost base contains fulfillment, engineering, infrastructure, compensation, marketing and support. The model removes the separately identified $91 million unrealized energy-derivative gain, yielding a $27.985 billion operating anchor. The source places the gain primarily in AWS; allocating it wholly to AWS is an analytical choice with a dedicated bound.

| Q3 2026 actual | USD million |
|---|---|
| Revenue | 201,944.00 |
| Cost of sales | 94,573.00 |
| Derived gross profit | 107,371.00 |
| Fulfillment | 29,997.00 |
| Technology / infrastructure | 34,814.00 |
| Sales / marketing | 11,649.00 |
| General / administrative | 2,701.00 |
| Other operating expense | 134.00 |
| GAAP operating profit | 28,076.00 |
| Identified energy gain removed | 91.00 |
| Energy-adjusted operating anchor | 27,985.00 |
| Net income | 20,685.00 |
| SBC inside operating costs | 5,406.00 |

North America supplied $112.852 billion of revenue and $8.723 billion of operating profit. International contributed $43.108 billion and $1.580 billion. AWS contributed $45.984 billion and $17.773 billion. Advertising, seller services and subscriptions divide the existing segment totals. The forecast retains one consolidated revenue envelope and allocates its products within that boundary.

Reported PPE depreciation was $15.142 billion, including $9.230 billion in AWS and $5.912 billion elsewhere. Cash-flow D&A was $20.949 billion and includes additional content and lease scopes. The cash bridge adds back the owned PPE expense modeled in operating profit. The broader $5.807 billion difference retains separate scope and timing qualifications.

Source: N01 release, physical pages 6-13; N11 Form 10-Q, statements, segment, compensation and PPE notes.

# Management guidance and the cost budget

Management guides Q4 sales to $240-247 billion and operating profit to $28.5-33.5 billion. Expected full-year cash capex remains approximately $220 billion. The model selects $243.611 billion of consolidated Q4 sales and $31.0 billion of operating profit. Q4 core cash spending is $47.812 billion, derived from the $220 billion annual indication less $172.188 billion in the first nine months.

The unallocated guidance cost budget is $8,773.090855 million. It reconciles the modeled pre-budget Q4 operating earnings of $39,773.090855 million to the $31 billion midpoint. This dollar input stays fixed when ordinary operating assumptions are perturbed. Its allocation among merchandise, fulfillment, marketing, technology and Leo remains undisclosed. Product and group gross profit forecasts therefore show analytical gross profit before this unallocated guide-cost budget. The entire budget reduces operating profit and paid cash.

The selected recurrence is seasonal: later Q4 budgets scale with retail revenue and 3% annual inflation. Prior-year evidence supports a holiday cost concentration. Q4 2025 sales rose 18.44% sequentially while cost of sales rose about 24%; non-COGS operating costs rose 5.90%. Gross margin fell 2.315 percentage points. Differing special charges qualify the exact comparison. The source leaves the precise future $8.77 billion composition and persistence uncertain. Every-quarter recurrence is a material alternative evaluated alongside the selected case.

| Q4 2026 | Sales, USD bn | OP, USD bn |
|---|---|---|
| Issuer low | 240 | 28.5 |
| Issuer high | 247 | 33.5 |
| Selected model | 243.611 | 31.000 |

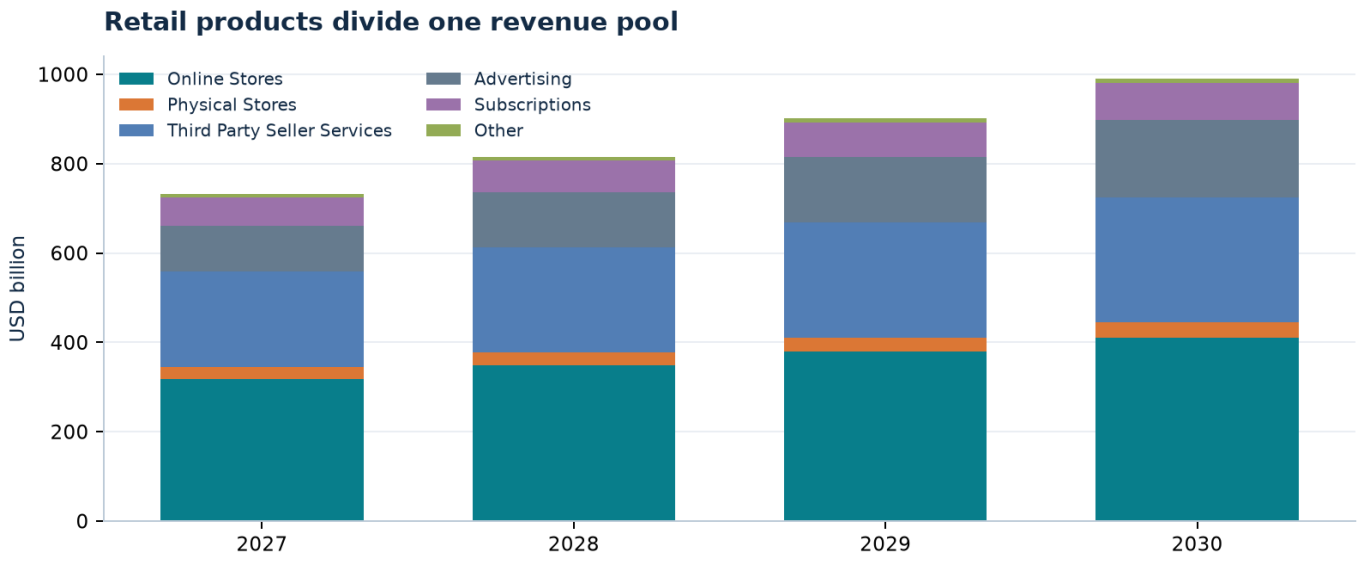
Source: N01 guidance, physical page 4; FY2025 annual and nine-month statements in the retained seasonality proof.

# North America and International: retail profit capture

Delivery speed, assortment and Prime traffic support physical purchases, third-party sellers and advertising demand. Paid units grew 12%. Shipping costs rose 11%, or approximately 8% excluding fuel and linehaul inflation. Inventory placement, route density, consolidated shipments and robotics influence cost per unit. Fresh food, smaller baskets, wages and delivery promises retain real operating costs.

Reported operating margins were 7.7% in North America and 3.7% International. Management described double-digit Stores margins inclusive of Ads, with the exact scope unspecified. Geographic mix, local infrastructure and delivery economics can cause the two regions to diverge. The operating forecast calibrates the shared non-AWS pool to current reported revenue and energy-adjusted operating profit, while preserving these geographic source observations.

Retail revenue starts at $194 billion in Q4 2026. Advertising is modeled at $25.154 billion, using the Q4 2025 base of $21.317 billion and 18% growth. The latest call described high-teens growth without an additional explicit currency qualifier. Later advertising shares of the retail pool are 13.75%, 15%, 16.25% and 17.5% across 2027-2030. Each increase reallocates one retail total among its six products.




Current model: annual retail revenue by product. USD billion; the six components sum to one retail total.

| Product | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|
| Online Stores | 317.54 | 347.94 | 379.00 | 410.64 |
| Physical Stores | 26.48 | 29.02 | 31.61 | 34.24 |
| Third Party Seller Services | 215.61 | 236.26 | 257.35 | 278.83 |
| Advertising | 100.79 | 122.25 | 146.41 | 173.43 |
| Subscriptions | 64.95 | 71.17 | 77.53 | 84.00 |
| Other | 7.63 | 8.36 | 9.11 | 9.87 |

Source: N01 retail, product, unit and shipping disclosures; N13 newest management call; selected product allocation and cost law.

# Product observations: Online Stores

Owned merchandise drives sales with inventory, purchasing, fulfillment and return costs. The model retains a substantial variable input base and fixed infrastructure. Paid units, basket size and inventory turn govern conversion.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 84.81 | 69.27 | 15.54 |
| Q1 2027 | 71.48 | 60.25 | 11.23 |
| Q2 2027 | 77.11 | 64.30 | 12.81 |
| Q3 2027 | 74.51 | 62.43 | 12.08 |
| Q4 2027 | 94.44 | 76.75 | 17.69 |
| Q1 2028 | 78.55 | 65.88 | 12.68 |
| Q2 2028 | 84.53 | 70.19 | 14.34 |
| Q3 2028 | 81.54 | 68.04 | 13.51 |
| Q4 2028 | 103.32 | 83.76 | 19.56 |
| Q1 2029 | 85.81 | 71.70 | 14.11 |
| Q2 2029 | 92.12 | 76.28 | 15.84 |
| Q3 2029 | 88.76 | 73.84 | 14.92 |
| Q4 2029 | 112.31 | 90.93 | 21.38 |
| Q1 2030 | 92.82 | 77.40 | 15.42 |
| Q2 2030 | 99.86 | 82.54 | 17.33 |
| Q3 2030 | 96.13 | 79.82 | 16.32 |
| Q4 2030 | 121.82 | 98.55 | 23.27 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Product observations: Physical Stores

Physical retail includes grocery exposure with store labor, occupancy and fresh-food handling. Whole Foods wages remain a separately timed paid program. Customer-cohort observations have selection effects and provide an incomplete causal margin bridge.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 7.07 | 5.36 | 1.71 |
| Q1 2027 | 5.96 | 4.67 | 1.30 |
| Q2 2027 | 6.43 | 4.98 | 1.45 |
| Q3 2027 | 6.21 | 4.83 | 1.38 |
| Q4 2027 | 7.88 | 5.94 | 1.93 |
| Q1 2028 | 6.55 | 5.10 | 1.45 |
| Q2 2028 | 7.05 | 5.44 | 1.61 |
| Q3 2028 | 6.80 | 5.27 | 1.53 |
| Q4 2028 | 8.62 | 6.49 | 2.13 |
| Q1 2029 | 7.16 | 5.55 | 1.60 |
| Q2 2029 | 7.68 | 5.91 | 1.78 |
| Q3 2029 | 7.40 | 5.72 | 1.68 |
| Q4 2029 | 9.37 | 7.04 | 2.32 |
| Q1 2030 | 7.74 | 5.99 | 1.75 |
| Q2 2030 | 8.33 | 6.39 | 1.94 |
| Q3 2030 | 8.02 | 6.18 | 1.84 |
| Q4 2030 | 10.16 | 7.63 | 2.53 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Product observations: Third Party Seller Services

Seller services monetize an existing marketplace and fulfillment network. Warehousing, delivery, seller support and transaction volumes scale the cost base. Reallocating the common retail pool prevents duplicated marketplace revenue.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 57.58 | 23.52 | 34.07 |
| Q1 2027 | 48.53 | 20.45 | 28.08 |
| Q2 2027 | 52.36 | 21.83 | 30.53 |
| Q3 2027 | 50.59 | 21.19 | 29.40 |
| Q4 2027 | 64.12 | 26.06 | 38.07 |
| Q1 2028 | 53.34 | 22.37 | 30.97 |
| Q2 2028 | 57.40 | 23.83 | 33.57 |
| Q3 2028 | 55.37 | 23.10 | 32.27 |
| Q4 2028 | 70.15 | 28.44 | 41.72 |
| Q1 2029 | 58.27 | 24.34 | 33.93 |
| Q2 2029 | 62.55 | 25.90 | 36.65 |
| Q3 2029 | 60.27 | 25.07 | 35.20 |
| Q4 2029 | 76.26 | 30.87 | 45.39 |
| Q1 2030 | 63.02 | 26.28 | 36.75 |
| Q2 2030 | 67.81 | 28.02 | 39.79 |
| Q3 2030 | 65.28 | 27.10 | 38.18 |
| Q4 2030 | 82.72 | 33.46 | 49.26 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Product observations: Advertising

Advertising monetizes commerce intent and existing customer distribution. Its low analytical direct-cost ratio creates mix sensitivity. Serving, engineering, sales support and common overhead remain in the operating budget; future gross profit has the unallocated guidance cost qualification.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 25.15 | 2.92 | 22.23 |
| Q1 2027 | 22.69 | 2.69 | 19.99 |
| Q2 2027 | 24.48 | 2.88 | 21.60 |
| Q3 2027 | 23.65 | 2.79 | 20.86 |
| Q4 2027 | 29.98 | 3.44 | 26.53 |
| Q1 2028 | 27.60 | 3.22 | 24.38 |
| Q2 2028 | 29.70 | 3.44 | 26.26 |
| Q3 2028 | 28.65 | 3.33 | 25.32 |
| Q4 2028 | 36.30 | 4.12 | 32.18 |
| Q1 2029 | 33.15 | 3.82 | 29.33 |
| Q2 2029 | 35.59 | 4.07 | 31.51 |
| Q3 2029 | 34.29 | 3.94 | 30.35 |
| Q4 2029 | 43.39 | 4.88 | 38.51 |
| Q1 2030 | 39.20 | 4.48 | 34.72 |
| Q2 2030 | 42.17 | 4.79 | 37.39 |
| Q3 2030 | 40.60 | 4.62 | 35.98 |
| Q4 2030 | 51.45 | 5.75 | 45.70 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Product observations: Subscriptions

Prime and other subscriptions create recurring customer relationships alongside content and member benefits. Content, delivery promises, engineering and service costs accompany revenue. The cash model retains explicit lease and content timing qualifications.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 17.35 | 3.54 | 13.81 |
| Q1 2027 | 14.62 | 3.08 | 11.54 |
| Q2 2027 | 15.77 | 3.29 | 12.49 |
| Q3 2027 | 15.24 | 3.19 | 12.05 |
| Q4 2027 | 19.32 | 3.92 | 15.39 |
| Q1 2028 | 16.07 | 3.37 | 12.70 |
| Q2 2028 | 17.29 | 3.59 | 13.70 |
| Q3 2028 | 16.68 | 3.48 | 13.20 |
| Q4 2028 | 21.13 | 4.28 | 16.85 |
| Q1 2029 | 17.55 | 3.67 | 13.89 |
| Q2 2029 | 18.84 | 3.90 | 14.94 |
| Q3 2029 | 18.16 | 3.78 | 14.38 |
| Q4 2029 | 22.97 | 4.65 | 18.32 |
| Q1 2030 | 18.99 | 3.96 | 15.03 |
| Q2 2030 | 20.43 | 4.22 | 16.21 |
| Q3 2030 | 19.66 | 4.08 | 15.58 |
| Q4 2030 | 24.92 | 5.04 | 19.88 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Product observations: Other

Other services retain the residual sourced product boundary. The model assigns costs to the remaining activity within the retail total. New healthcare or unrelated-business revenue requires its own evidence and operating bridge.

Product cost weights reconcile proportionately to the source-calibrated non-AWS cost of sales. SBC is carved out and allocated with the same normalized product weights. Common fulfillment, engineering, marketing and overhead remain at the retail-pool level, so product analytical gross profit carries a separate shared-cost burden.

| Quarter | Revenue, $bn | COGS, $bn | Analytical GP, $bn |
|---|---|---|---|
| Q4 2026 | 2.04 | 0.93 | 1.11 |
| Q1 2027 | 1.72 | 0.81 | 0.91 |
| Q2 2027 | 1.85 | 0.86 | 0.99 |
| Q3 2027 | 1.79 | 0.84 | 0.95 |
| Q4 2027 | 2.27 | 1.03 | 1.24 |
| Q1 2028 | 1.89 | 0.89 | 1.00 |
| Q2 2028 | 2.03 | 0.94 | 1.09 |
| Q3 2028 | 1.96 | 0.91 | 1.04 |
| Q4 2028 | 2.48 | 1.13 | 1.36 |
| Q1 2029 | 2.06 | 0.96 | 1.10 |
| Q2 2029 | 2.21 | 1.03 | 1.19 |
| Q3 2029 | 2.13 | 0.99 | 1.14 |
| Q4 2029 | 2.70 | 1.22 | 1.48 |
| Q1 2030 | 2.23 | 1.04 | 1.19 |
| Q2 2030 | 2.40 | 1.11 | 1.29 |
| Q3 2030 | 2.31 | 1.07 | 1.24 |
| Q4 2030 | 2.93 | 1.32 | 1.60 |

Source: Current company product disclosures and selected finite retail pool. Gross profit precedes the unallocated guidance cost budget.

# Wages, contractor costs and stock compensation

Core operations, Whole Foods and delivery partners have separate budgets and timing. The core wage selection starts from $1.5 billion annually, applies 80% operating exposure and removes 50% overlap, leaving $600 million per year. A $25 million Q3 embedded amount is carved out of the calibration before the new recurring program is applied. Whole Foods uses $230 million times 90% operating exposure and 50% residual. Delivery partners use $1.9 billion times 70% expense exposure and 50% residual, with a partial early Q4 ramp. Annual pay grows 3% from 2028.

SBC of $5.406 billion remains inside operating earnings. The selected source allocation is $170 million in retail COGS, $2,386.3 million in AWS operating costs and $2,849.7 million in retail operating costs. AWS receives 70% of the $3.409 billion technology SBC pool; the allocation is an analytical split with 50% and 90% alternatives. Ordinary cost bases remove these amounts before matched explicit SBC expenses are added back. The cash bridge reverses exactly the same noncash expense.

Q3 weighted basic shares were 10,797 million and diluted shares 10,929 million. The 132 million treasury-method increment is separate from 223.3 million gross RSUs. The October 21 legal count was 10,813,138,306. The existing valuation retains the latest reported weighted diluted proxy and adds explicitly modeled starting-quarter acquisition and financing issuance. New grants, award cash settlement, forfeitures and future treasury-method dilution remain uncertain; annual 1% and 2% share-growth bounds are retained.

Unrecognized compensation was $22.3 billion, with over half expected to be expensed within twelve months and a one-year weighted remaining period. The gross RSU vesting schedule lists 26.1 million units in Q4 2026, 99.4 million in 2027, 62.8 million in 2028, 25.2 million in 2029, 7.5 million in 2030 and 2.3 million thereafter. The company executed zero program repurchases in the first nine months and retained $6.1 billion of authority. Future program repurchases are zero in the selected forecast; execution would require a funded cash and share-count update.

| Calendar year | Core wages, $bn | Whole Foods, $bn | Delivery partner, $bn | Retail SBC, $bn | AWS SBC, $bn |
|---|---|---|---|---|---|
| 2027 | 0.60 | 0.10 | 0.67 | 14.19 | 12.85 |
| 2028 | 0.62 | 0.11 | 0.68 | 15.78 | 18.02 |
| 2029 | 0.64 | 0.11 | 0.71 | 17.45 | 23.52 |
| 2030 | 0.66 | 0.11 | 0.73 | 19.19 | 29.20 |

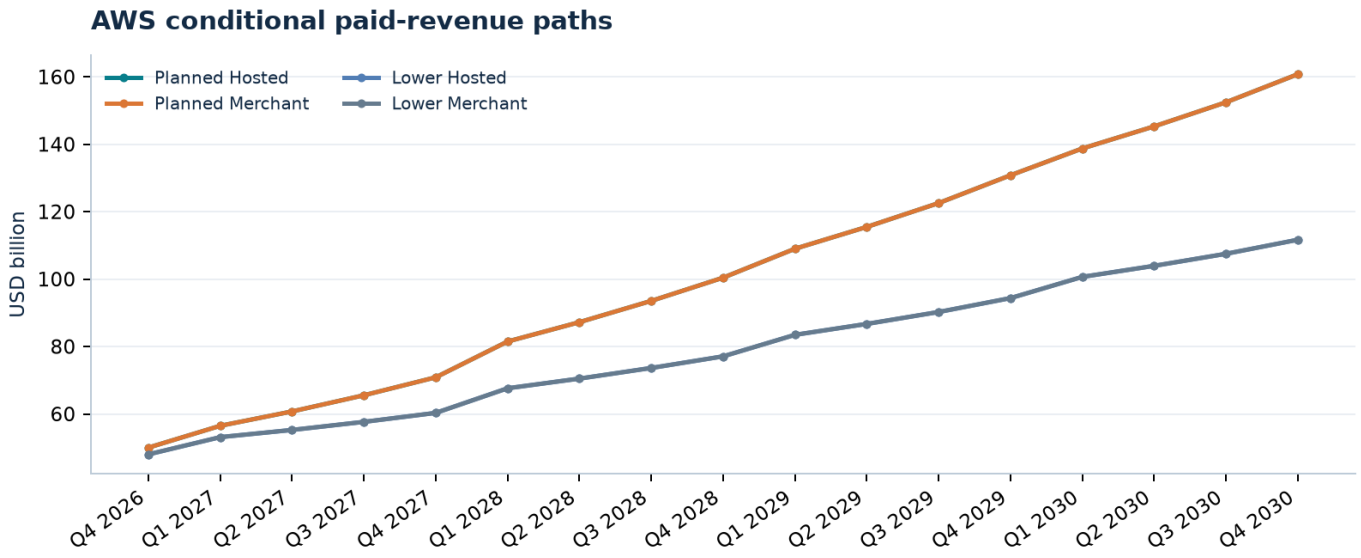
Source: Current compensation and share notes; preserved employment sources; selected current-quarter expense/addback reconciliation.

# AWS: paid workloads inside a finite capacity envelope

AWS grew 39.3% year over year to $45.984 billion of quarterly sales, a rounded $184 billion annual run rate. Reported operating margin was approximately 38.65%. Management expects growth above 40% in 2027 and 2028 and describes a potential trillion-dollar annual business over five to ten years. Capacity activation, consumption, acceptance, customer funding and competition determine the path from those outlooks to paid sales.

The selected planned 2026 AWS anchor is $175.803 billion: $37.587 billion in Q1, $42.232 billion in Q2, $45.984 billion in Q3 and $50 billion in Q4. The planned annual pool grows 44%, 43%, 32% and 25% in 2027-2030 with the retained seasonal proportions. Planned conversion has an 80% probability. The 20% lower-conversion path receives half the excess over an 8%-annual-growth foundation starting from current paid revenue. Both cases retain the full capital and fixed-capacity cost budget.

Unrecognized commitments of approximately $578 billion have a weighted remaining term of 6.1 years, mainly within AWS arrangements originally longer than one year. OpenAI and Anthropic expansions belong within this same demand and capacity envelope. Contract commitments become revenue through usage and performance; customer investment and cloud collections have distinct cash obligations. The forecast removes overlapping revenue attribution across backlog, agents, custom chips and named customer contracts.




Four selected AWS conversion and merchant outcomes. Fixed paid capacity remains in each path.

| Outcome | Weight | 2027 revenue, $bn | 2028 revenue, $bn | 2030 revenue, $bn |
|---|---|---|---|---|
| planned hosted | 32.0% | 253.62 | 362.68 | 597.32 |
| planned merchant | 48.0% | 253.62 | 362.67 | 597.32 |
| lower hosted | 8.0% | 226.32 | 288.81 | 423.78 |
| lower merchant | 12.0% | 226.32 | 288.81 | 423.78 |

Source: N01 AWS results and commitments; N11 remaining performance obligations; N13 call; selected annual pool and conversion outcomes.

# External chips, inference and software adoption

Management reports triple-digit chip-revenue growth, substantial Graviton and Trainium commitments, and inference representing well over half of AI revenue. External Trainium sales are expected in late 2027. Merchant units, prices and margins remain undisclosed. Qualification, finite chip allocation, HBM and packaging, delivery and software support determine the commercial conversion.

The merchant program has a 60% probability. The planned branch assigns $1 billion of 2027 merchant revenue entirely to Q4, followed by $5 billion, $10 billion and $20 billion annually in 2028-2030. The lower conversion branch halves these amounts. Merchant revenue replaces hosted revenue within the same AWS pool. Direct COGS are 75% and readiness/support is 8%; paid hosted fixed depreciation remains. This allocation can reduce near-term earnings when lower-margin external units displace hosted economics.

Bedrock spending and token growth, AgentCore adoption, TorchNeuron integration and Continuum security provide commercial evidence with overlapping usage. TorchNeuron contributes a 60%-probability adoption overlay on 10% eligible hosted revenue, 5% usage uplift and 25% residual after overlap. Usage retains ordinary variable costs plus 15% incremental support. Engineering of $40 million in each of Q4 2026 and Q1 2027 uses a separate 60% paid-readiness weight. Annual ongoing support of $20 million is divided quarterly and uses the same readiness weight and duration factor. These readiness costs remain in the zero-commercial-adoption diagnostic. The uplift is finite to 2027-2028, with one-third timing in Q4 2026.

A finite pricing overlay has 55% probability, 10% eligible exposure, 4% premium and 50% residual after overlap. Incremental support cost absorbs 20% of the added revenue. Named enterprise adoption and security integration remain commercially useful evidence; their unreported standalone economics prevent a separate full revenue pool.

| Rule16b item | Probability / scope | Conditional economics / overlap |
|---|---|---|
| AWS planned conversion | 80% planned / 20% lower | Lower outcome takes half of planned excess over the paid foundation; full capital costs persist |
| Merchant chips | 60% program | Hosted displacement within AWS; 75% COGS and 8% support |
| Finite pricing | 55%; 10% eligible | 4% premium; 50% residual; 20% incremental cost; 2027-2028 |
| TorchNeuron | 60%; 10% eligible | 5% usage; 25% residual; variable costs, 15% support and paid engineering |
| Named customers / backlog | Within common AWS pool | Collection, capacity and consumption qualify conversion |

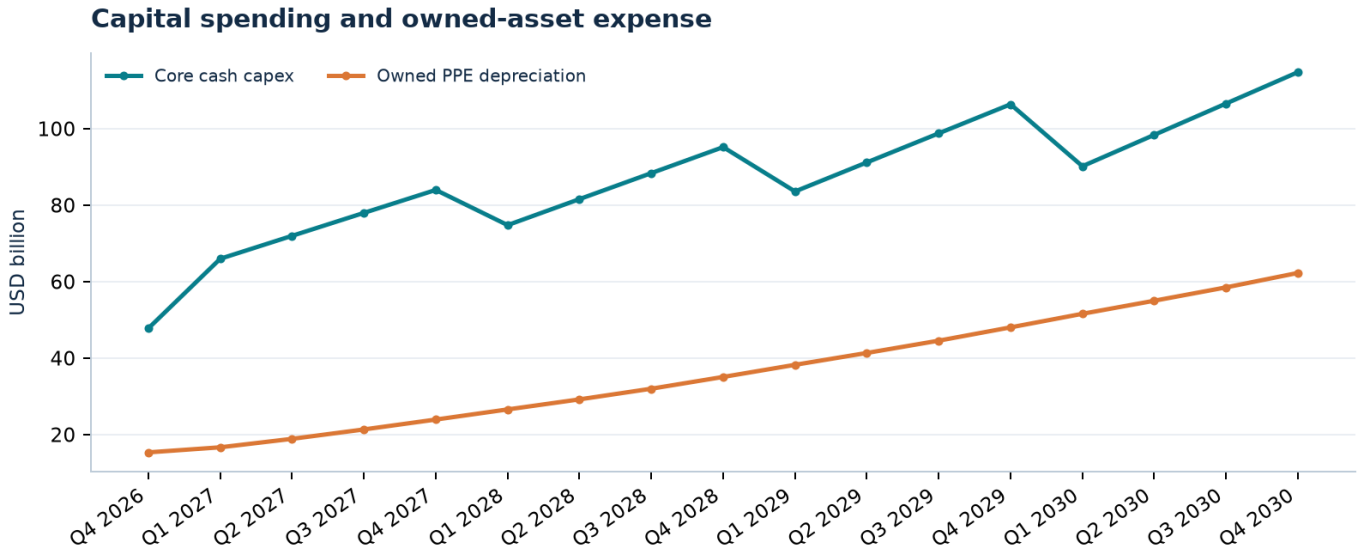
Source: N13 current call; issuer custom-silicon material; preserved software and security evidence. Probabilities and margins are research assumptions.

# Capital cash and owned-asset activation

Q3 cash PPE purchases of $77.259 billion less $1.381 billion of sales/incentives produce $75.878 billion net cash capex. Net PPE additions of $78.262 billion reconcile to net cash purchases, $1.472 billion finance-lease acquisitions and $853 million unpaid PPE movement with a $59 million unallocated scope residual. The Q3 and nine-month net PPE roll-forwards retain separate residuals of negative $304 million and negative $351 million.

Future core budgets are $300 billion in 2027, $340 billion in 2028, $380 billion in 2029 and $410 billion in 2030, with 22%/24%/26%/28% quarterly spending. These are large research allocations. AWS receives 80%; the asset mix is 70% servers/network, 25% buildings and 5% land. Server lives are five years and building lives thirty years. Servers activate with zero/one-quarter lags; buildings with six/seven-quarter lags. Each pair has equal weights, first-ready-quarter depreciation is half, and land has zero depreciation.

Existing depreciation runs off at 5% annually. A $10 billion prior uncommissioned reserve is already inside September net PPE of $508.862 billion. Half activates in each of Q1 and Q2 2027. Activation adds depreciation without creating another cash purchase or book asset. Capital AP net movement and future new finance-lease asset receipts are selected at zero as explicit simplifications. Supplier-financed equipment stays within the core purchase budget.




Selected current/future paid core capital and owned PPE depreciation, USD billion.

| Quarter | Core paid capex | Owned PPE D&A |
|---|---|---|
| Q4 2026 | 47.81 | 15.37 |
| Q1 2027 | 66.00 | 16.69 |
| Q2 2027 | 72.00 | 18.91 |
| Q3 2027 | 78.00 | 21.36 |
| Q4 2027 | 84.00 | 23.95 |
| Q1 2028 | 74.80 | 26.60 |
| Q2 2028 | 81.60 | 29.23 |
| Q3 2028 | 88.40 | 32.02 |
| Q4 2028 | 95.20 | 35.10 |
| Q1 2029 | 83.60 | 38.26 |
| Q2 2029 | 91.20 | 41.37 |

| Quarter | Core paid capex | Owned PPE D&A |
|---|---|---|
| Q3 2029 | 98.80 | 44.58 |
| Q4 2029 | 106.40 | 48.06 |
| Q1 2030 | 90.20 | 51.61 |
| Q2 2030 | 98.40 | 55.02 |
| Q3 2030 | 106.60 | 58.52 |
| Q4 2030 | 114.80 | 62.30 |

Source: N01 cash flow; N11 PPE and commitments; selected finite asset cohorts. Detailed readiness and finite depreciation are retained in the linked model.

# Leo: commercial timing, capitalization and paid spending

The current call shifts expected Leo capitalization to Q1 2027, with most Q4 costs expensed. Amounts, exact qualified share and economic lives remain unreported. The model starts from a $500 million quarterly paid pool, escalates it 3% per year and assigns 80% as eligible for capitalization when the selected timing condition is met. Timing probabilities are 70% Q1 2027, 20% Q3 2027 and 10% expense throughout the horizon.

Eligible capitalized spending enters a five-year book-life cohort, begins depreciating upon readiness and takes half a quarter of depreciation initially. In every timing state, expensed cash plus capitalized cash equals the full paid pool before tax. The selected near-term cash-tax treatment assumes immediate qualifying deduction, creating a distinct temporary book/cash difference. Book-aligned cash tax, qualification, life and readiness alternatives remain in the sensitivities. Leo revenue remains unselected without a supported unit, customer, price and service-cost bridge.

| Quarter | Paid pool, $m | Expensed cash, $m | Capitalized cash, $m | Owned D&A, $m | OP cost, $m |
|---|---|---|---|---|---|
| Q4 2026 | 500.00 | 500.00 | 0.00 | 0.00 | 500.00 |
| Q1 2027 | 515.00 | 226.60 | 288.40 | 7.21 | 233.81 |
| Q2 2027 | 515.00 | 226.60 | 288.40 | 21.63 | 248.23 |
| Q3 2027 | 515.00 | 144.20 | 370.80 | 38.11 | 182.31 |
| Q4 2027 | 515.00 | 144.20 | 370.80 | 56.65 | 200.85 |
| Q1 2028 | 530.45 | 148.53 | 381.92 | 75.47 | 223.99 |
| Q2 2028 | 530.45 | 148.53 | 381.92 | 94.56 | 243.09 |
| Q3 2028 | 530.45 | 148.53 | 381.92 | 113.66 | 262.19 |
| Q4 2028 | 530.45 | 148.53 | 381.92 | 132.76 | 281.28 |
| Q1 2029 | 546.36 | 152.98 | 393.38 | 152.14 | 305.12 |
| Q2 2029 | 546.36 | 152.98 | 393.38 | 171.81 | 324.79 |
| Q3 2029 | 546.36 | 152.98 | 393.38 | 191.48 | 344.46 |
| Q4 2029 | 546.36 | 152.98 | 393.38 | 211.15 | 364.13 |
| Q1 2030 | 562.75 | 157.57 | 405.18 | 231.11 | 388.68 |
| Q2 2030 | 562.75 | 157.57 | 405.18 | 251.37 | 408.94 |
| Q3 2030 | 562.75 | 157.57 | 405.18 | 271.63 | 429.20 |
| Q4 2030 | 562.75 | 157.57 | 405.18 | 291.89 | 449.46 |

Source: Newest two management calls; selected Leo timing, qualification, asset and tax assumptions.

# Globalstar: conditional business, purchase cash and acquired assets

The announced agreement offers $90 cash or 0.321 Amazon shares, with stock value capped at $90 and cash elections capped at 40%. The dated announcement implied approximately $10.9 billion including debt. Closing is expected in 2027, subject to approvals and satellite milestones. Actual elections, closing balances, Apple-related service and redemption obligations, purchase-price allocation, tax and integration remain transaction-specific uncertainties.

The model retains three closing outcomes: 70% Q3 2027, 20% Q2 2028 and 10% outside the horizon. Each is crossed with 60% dated management sales endpoints and 40% slower network sales. Services and equipment have separate activity and paid-cost bridges. The first consolidation quarter uses half-period operating activity and the full closing book inflow. The network commitments retain their dated standalone scopes.

Selected net consideration is $5.5 billion at closing; a $15 billion cash-equivalent bound captures a materially heavier funding outcome. Incremental shares are 25.712835 million, using the dated 133.503818 million common-plus-warrant proxy, 60% stock and the maximum 0.321 exchange ratio. Starting-quarter ownership applies half the shares at closing and full shares thereafter. A larger all-stock dilution proxy is retained as a separate share sensitivity.

Finite purchase accounting includes a $4 billion intangible step-up amortized over ten years and a $1 billion PPE step-up depreciated over twelve. Integration costs are $100 million, $50 million, $25 million and $25 million. June standalone PPE was $1,543.330 million, including $1,367.811 million CIP. The selected legacy depreciable pool is $171.611 million after a $3.908 million nondepreciable/unallocated reserve. A $16.551511 million quarterly pure PPE run-rate is derived from the dated depreciation-versus-combined-D&A ratio and capped by the remaining finite book.

The legacy expense budget stays at $16.802 million per quarter. After finite book exhaustion, the retained portion becomes cash maintenance in the operating budget; only the remaining owned depreciation creates a noncash addback. Existing CIP activation creates no additional opening asset. New projects and maintenance use finite cohorts. Exact future asset vintages and closing PPA remain analytical gaps. The linked model carries the complete owned-book roll-forwards across all selected acquisition cases.

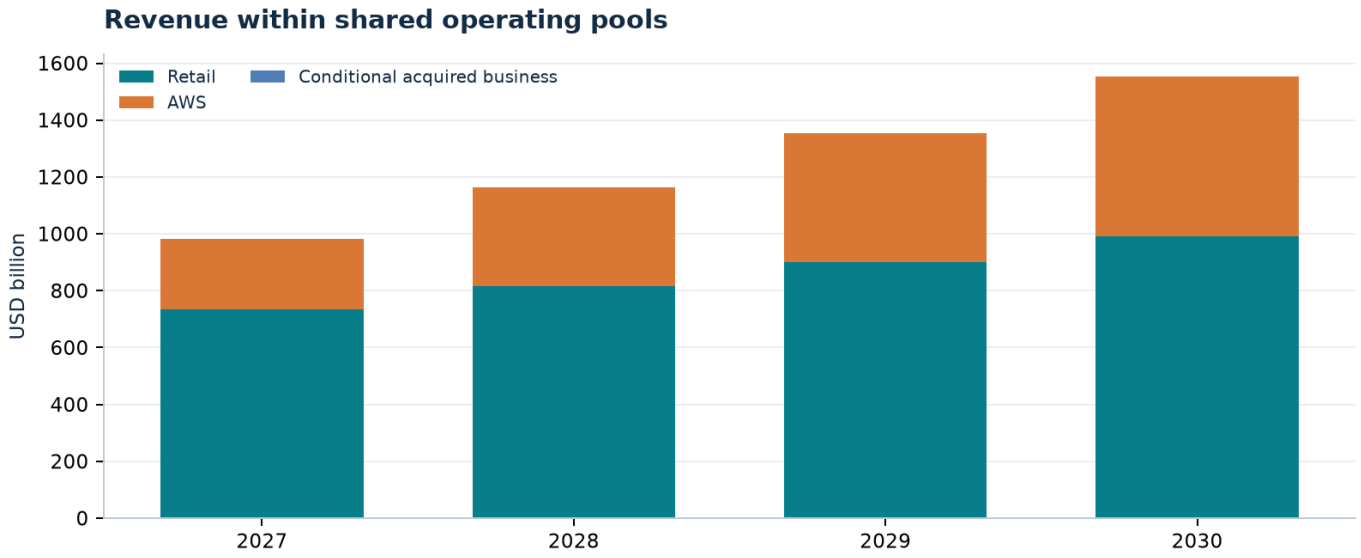
| Quarter | Acquired revenue, $bn | Acquired OP, $bn | Project cash, $bn | PPE D&A, $m | Ending owned PPE, $bn |
|---|---|---|---|---|---|
| Q4 2026 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Q1 2027 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Q2 2027 | 0.00 | 0.00 | 0.00 | 0.00 | 0.00 |
| Q3 2027 | 0.04 | -0.10 | 0.04 | 13.46 | 1.92 |
| Q4 2027 | 0.08 | -0.10 | 0.07 | 31.52 | 1.96 |
| Q1 2028 | 0.10 | -0.07 | 0.09 | 36.11 | 2.01 |
| Q2 2028 | 0.11 | -0.10 | 0.10 | 42.99 | 2.67 |
| Q3 2028 | 0.12 | -0.08 | 0.11 | 50.53 | 2.73 |
| Q4 2028 | 0.12 | -0.09 | 0.11 | 59.58 | 2.78 |
| Q1 2029 | 0.13 | -0.09 | 0.07 | 59.21 | 2.79 |
| Q2 2029 | 0.13 | -0.09 | 0.07 | 56.14 | 2.80 |
| Q3 2029 | 0.13 | -0.09 | 0.07 | 58.07 | 2.81 |
| Q4 2029 | 0.13 | -0.09 | 0.07 | 62.17 | 2.82 |
| Q1 2030 | 0.15 | -0.09 | 0.01 | 66.27 | 2.76 |

| Quarter | Acquired revenue, $bn | Acquired OP, $bn | Project cash, $bn | PPE D&A, $m | Ending owned PPE, $bn |
|---|---|---|---|---|---|
| Q2 2030 | 0.15 | -0.09 | 0.01 | 67.72 | 2.71 |
| Q3 2030 | 0.15 | -0.09 | 0.01 | 68.59 | 2.65 |
| Q4 2030 | 0.15 | -0.09 | 0.01 | 68.88 | 2.60 |

Source: Preserved transaction announcement, dated Globalstar projections and financial notes; issuer acquisition references; finite R6 acquired asset-book evidence.

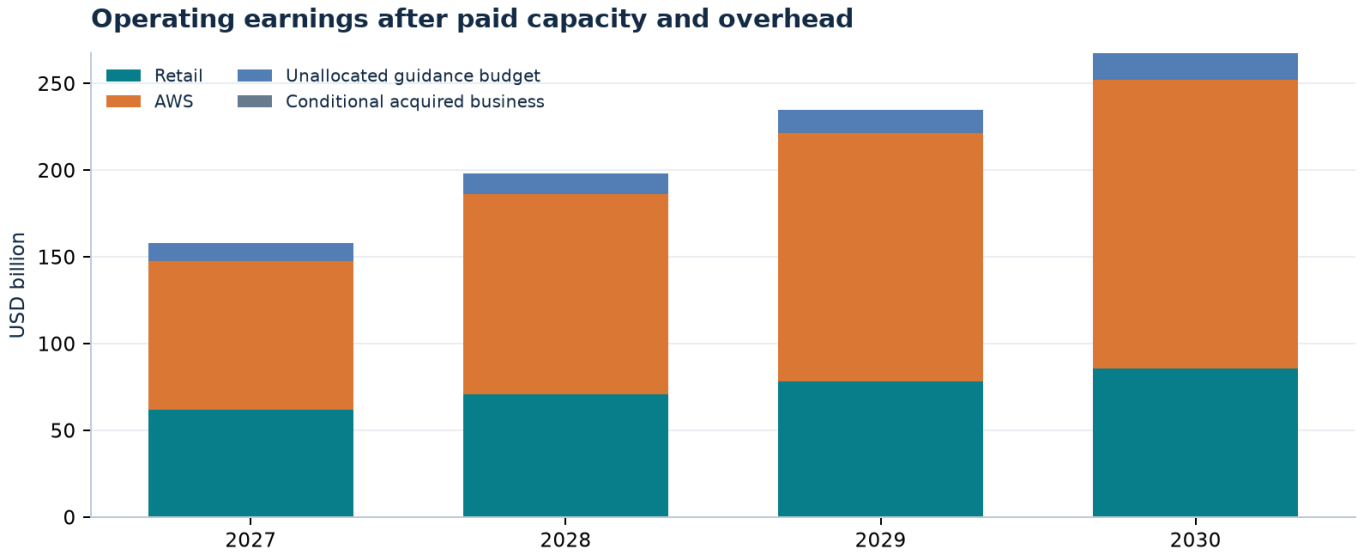
# Group revenue and operating earnings

Group revenue combines the six retail products, the finite AWS pool with merchant displacement and timing-weighted acquired services/equipment. Consolidated operating profit deducts source-calibrated product costs, manufacturing and delivery expense, ordinary support and overhead, matched SBC, wages, owned depreciation, Leo treatment, acquisition amortization/integration and the unallocated guidance cost budget. Probabilities enter the conditional operating outcomes once.




Current full-year revenue forecast by operating pool. USD billion.

| Year | Retail | AWS | Conditional acquisition | Group |
|---|---|---|---|---|
| 2027 | 733.00 | 248.16 | 0.11 | 981.28 |
| 2028 | 815.00 | 347.90 | 0.45 | 1,163.36 |
| 2029 | 901.00 | 453.24 | 0.53 | 1,354.78 |
| 2030 | 991.00 | 562.61 | 0.58 | 1,554.20 |




Operating-profit components include the full unallocated cost budget. USD billion.

| Year | Retail OP | AWS OP | Guide budget | Acquired OP | Group OP |
|---|---|---|---|---|---|
| 2027 | 62.04 | 96.16 | -10.15 | -0.20 | 146.98 |
| 2028 | 70.68 | 127.59 | -11.61 | -0.34 | 185.30 |
| 2029 | 78.45 | 156.49 | -13.19 | -0.36 | 220.04 |
| 2030 | 85.63 | 181.88 | -14.96 | -0.37 | 250.51 |

Source: Selected source-calibrated R6 operating model. Product and group GP have the explicit guidance-budget allocation qualification.

# Liquidity, investments and existing obligations

September cash/equivalents of $55.783 billion plus marketable securities of $58.443 billion establish $114.226 billion of unrestricted starting liquidity. Restricted balances of $2.931 billion are excluded. Q3 long-term debt proceeds of $48.102 billion already include the dated note and term financing. The $21.3 billion remaining OpenAI contribution was paid in Q3 and is reflected in the opening balance. Future funding starts after this current source cut.

The remaining Anthropic facility is $15 billion, drawable at milestones and the counterparty's discretion. A 60% draw assumption produces $9 billion of expected future cash, split between Q2 and Q4 2027. Full and zero draws are bounded separately. Preferred investments and valuation marks have conversion, lock-up and liquidity conditions, and add no selected stake value to the operating-profit valuation.

Book current-plus-long-term debt was $179.952 billion, with $180.887 billion face value and $935 million discount/issuance costs. The newest combined principal-plus-interest calendar replaces the old overlapping payment schedule. Separate finance-lease and financing-obligation principal/interest cash retain their own calendars. Reported Q3 book interest was $1.691 billion, while paid-interest and capitalization scopes differed.

Total disclosed commitments were $883.581 billion, including $294.254 billion of debt principal and interest, $164.922 billion of uncommenced leases and $159.640 billion of PPE commitments. This table contains existing liabilities and future arrangements with distinct timing and overlap. Residual lease costs receive a separate diagnostic. Undrawn revolving facilities totaled $20 billion; commercial-paper capacity was $30 billion with zero September borrowing. The selected future market-funding limits are research assumptions, while committed bank lines retain their disclosed amounts.

The $80 billion secured supplier facility permits discretionary draws from Q1 2027 through Q3 2028. Each draw matures five years later at a variable rate. The selected 75% full-draw / 25% no-draw outcomes use 6% interest and the stated purchase-linked timing. Draw receipts and matched equipment payments enter the paid cash presentation; direct vendor settlement provides an equivalent diagnostic. The facility funds part of the existing capex budget.

The cash bridge retains an 8% operating-growth working-capital requirement applied to four times positive sequential ordinary revenue growth. This is a bounded growth proxy. Source Q3 operating working-capital cash of negative $10.345 billion remains a separate actual reconciliation. A recurring source-scaled $5.708 billion drain is evaluated as an alternative. Operating lease cash of $4.602 billion exceeds the $4.288 billion book amount by $314 million; the forecast subtracts this source-scaled additional cash use once.

Source: N01 cash flow; N11 investments, debt, leases and commitments. Source combined debt payment data limits exact future issuer-CFO classification; selected cash schedules retain their specified scopes.

# Market funding, fees and shareholder dilution

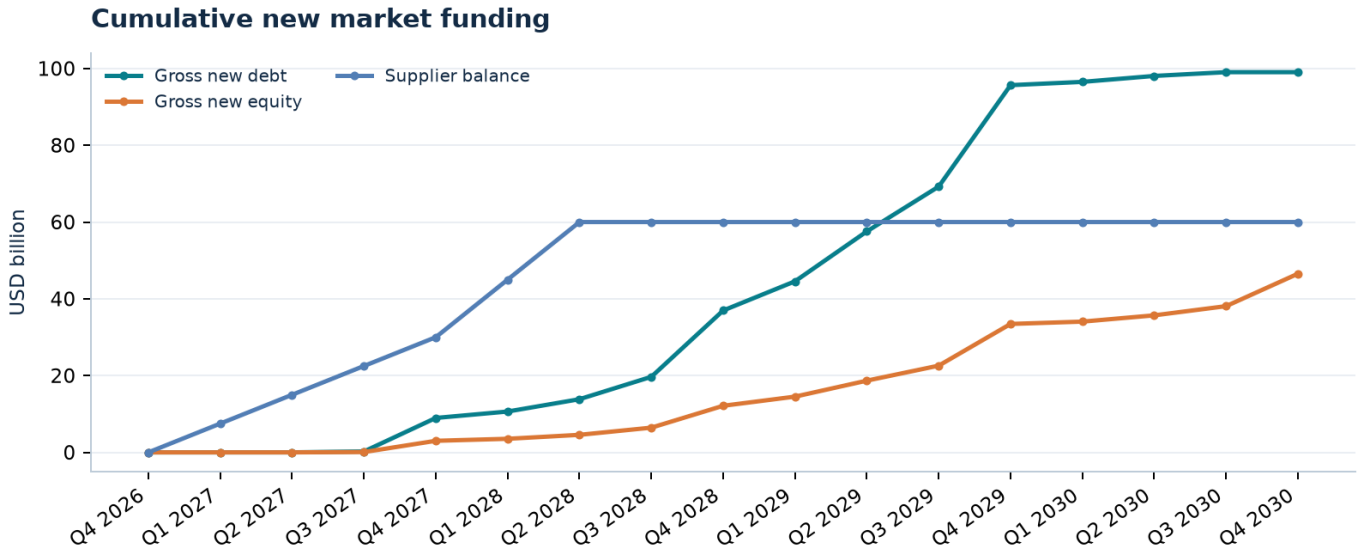
The operating forecast pays its full capital budget through 2030. Each of the 96 selected joint paths applies its own operating outcome, supplier availability, Leo timing, market-funding route and near-term tax endpoint. Market access is modeled as 75% debt-first then equity and 25% equity-only. A $20 billion liquidity floor, $250 billion cumulative gross new debt cap and $500 billion gross equity cap bound the financing response.

New debt pays a 7% coupon and a 0.5% issuance fee, yielding 99.5% net proceeds. Each issue matures twenty quarters later, with half-period interest on issue and maturity. Straight-line issuance-fee amortization over twenty quarters is a qualified approximation to the effective-interest method. This book expense affects tax and earnings below operating profit. Its cash fee is already included in net proceeds.

Equity raises pay 2% fees and use a fixed $171.941 issue reference, 70% of the verified $245.63 dated quote. The current-market display can change independently of this fixed funding assumption. Legal shares are issued in full for cash; the valuation uses half-weighted shares in the issue quarter and full shares thereafter. Every possible quarter-cohort remains available when the cash inputs change.

Expected cumulative gross new debt is $99.043 billion and equity is $46.535 billion through 2030, creating 270.645 million expected legal financing shares. The maximum selected gross debt is $250 billion. A separate equity-only path requires $376.096 billion gross equity and 2,187.357 million new shares. This equity-only dilution represents about 20% of the current diluted proxy, or about 16.7% of post-issuance ownership before acquisition and other claims. Expected peak quarterly gross funding is $37.286 billion and the maximum conditional quarter is $55.539 billion, both in Q4 2029. Minimum modeled operating-profit/book-interest coverage is 5.146x.

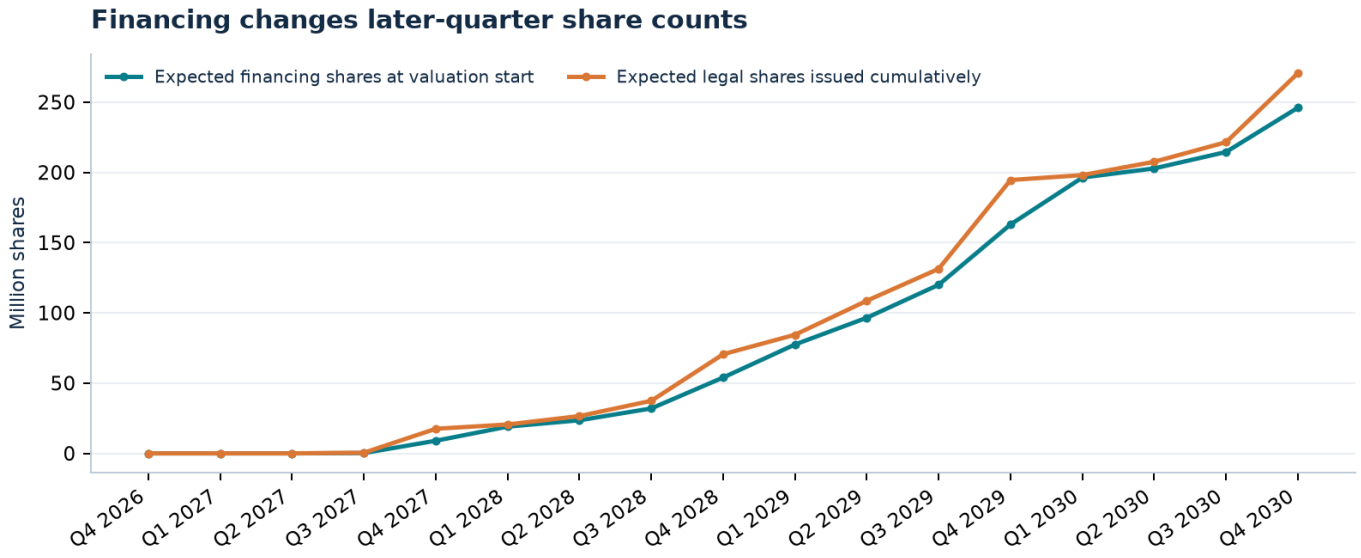
All positive-weight default paths meet the selected floor and caps. These results depend on future market access and execution. Reducing the equity cap to $200 billion produces a 5% weighted floor and negative-cash failure; the foundation-only growth alternative has 25% floor failure and 19% negative-cash failure. A 20% larger capex budget gives 5% floor failure. The coupled readiness-delay case has 0.25% floor failure and zero negative-cash weight. Removing market funding produces failure in every path. Capacity benefits from a lower capital budget require a separate supported production bridge.




Expected cumulative gross market funding and supplier balance. All issue fees, coupons and share effects remain in the complete paths.

| Quarter | Gross debt, $bn | Gross equity, $bn | Supplier balance, $bn |
|---|---|---|---|
| Q4 2026 | 0.00 | 0.00 | 0.00 |
| Q1 2027 | 0.00 | 0.00 | 7.50 |
| Q2 2027 | 0.00 | 0.00 | 15.00 |

| Quarter | Gross debt, $bn | Gross equity, $bn | Supplier balance, $bn |
|---|---|---|---|
| Q3 2027 | 0.23 | 0.08 | 22.50 |
| Q4 2027 | 8.96 | 3.01 | 30.00 |
| Q1 2028 | 10.64 | 3.54 | 45.00 |
| Q2 2028 | 13.85 | 4.56 | 60.00 |
| Q3 2028 | 19.68 | 6.43 | 60.00 |
| Q4 2028 | 36.96 | 12.13 | 60.00 |
| Q1 2029 | 44.56 | 14.52 | 60.00 |
| Q2 2029 | 57.57 | 18.68 | 60.00 |
| Q3 2029 | 69.24 | 22.59 | 60.00 |
| Q4 2029 | 95.66 | 33.45 | 60.00 |
| Q1 2030 | 96.51 | 34.06 | 60.00 |
| Q2 2030 | 98.06 | 35.69 | 60.00 |
| Q3 2030 | 99.04 | 38.09 | 60.00 |
| Q4 2030 | 99.04 | 46.54 | 60.00 |




Financing issuance changes the denominator as each starting quarter arrives.

| Quarter | Cumulative new legal shares, m | Starting-quarter financing shares, m |
|---|---|---|
| Q4 2026 | 0.00 | 0.00 |
| Q1 2027 | 0.00 | 0.00 |
| Q2 2027 | 0.00 | 0.00 |
| Q3 2027 | 0.45 | 0.23 |
| Q4 2027 | 17.50 | 8.98 |
| Q1 2028 | 20.56 | 19.03 |
| Q2 2028 | 26.55 | 23.55 |

| Quarter | Cumulative new legal shares, m | Starting-quarter financing shares, m |
|---|---|---|
| Q3 2028 | 37.42 | 31.98 |
| Q4 2028 | 70.57 | 54.00 |
| Q1 2029 | 84.44 | 77.50 |
| Q2 2029 | 108.67 | 96.55 |
| Q3 2029 | 131.37 | 120.02 |
| Q4 2029 | 194.56 | 162.97 |
| Q1 2030 | 198.09 | 196.33 |
| Q2 2030 | 207.59 | 202.84 |
| Q3 2030 | 221.51 | 214.55 |
| Q4 2030 | 270.65 | 246.08 |

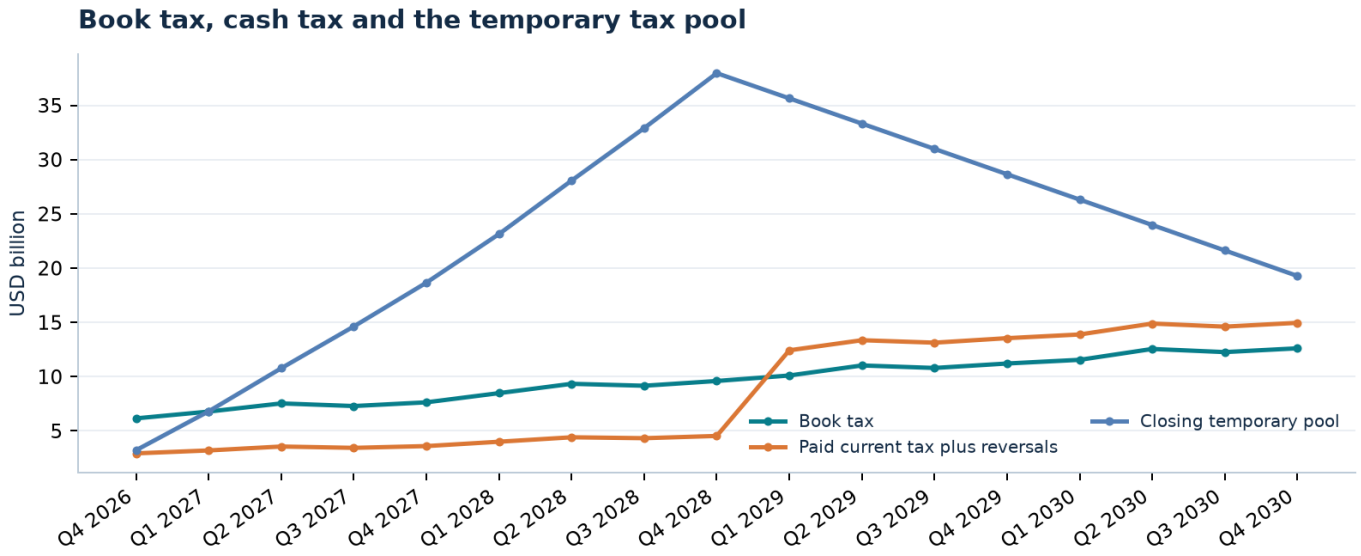
Source: Selected finite financing law and complete 96-path cash schedules; actual Q3 market receipts provide dated context. Future capital access, pricing and limits are research assumptions.

# Book earnings, cash tax and deferred timing

Book tax is modeled at 21% of recurring taxable earnings. Through 2028 the cash-tax endpoints are 80% probability at 7.25% and 20% at 21%; each maintains its own funding response. Both use 21% from 2029. The displayed 10% near-term expected rate is the weighted description of these endpoints. It is excluded as a shortcut for the endogenous financing calculation.

The temporary pool begins at zero for the current reconstruction, then accrues book tax less current cash tax and subtracts reversals. The end-2028 pool is frozen only as the reference for annual reversal of 25% in each of 2029 and 2030. The actual pool continues to track ongoing Leo timing differences. A separate $7.3 billion historical exposure has a 20% modeled settlement, or $1.460 billion cash in Q4 2028, assumed already provided. Zero/full/delayed payment alternatives retain distinct operating, tax and cash scope.

Source Q3 book tax was $6.180 billion, deferred cash-flow tax was $5.033 billion and cash tax paid was $1.315 billion. The $168 million remaining timing/scope difference is retained explicitly. Asset book depreciation, cash deductions, debt fees and cash payment dates are reconciled in each path. Future exact tax statutes, entity mix and audit outcomes remain source gaps.




Expected book tax, paid cash tax and temporary pool, USD billion.

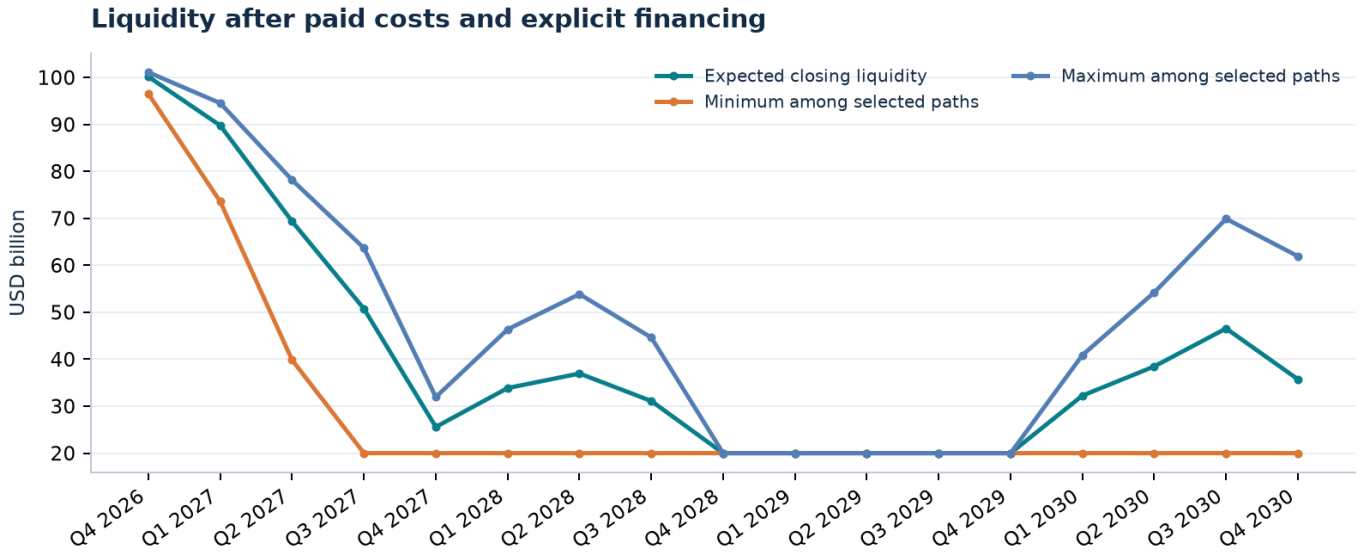
| Quarter | Book tax | Paid cash tax | Reversal cash | Closing pool |
|---|---|---|---|---|
| Q4 2026 | 6.15 | 2.93 | 0.00 | 3.22 |
| Q1 2027 | 6.78 | 3.20 | 0.00 | 6.80 |
| Q2 2027 | 7.53 | 3.56 | 0.00 | 10.78 |
| Q3 2027 | 7.29 | 3.44 | 0.00 | 14.63 |
| Q4 2027 | 7.63 | 3.60 | 0.00 | 18.66 |
| Q1 2028 | 8.48 | 4.00 | 0.00 | 23.14 |
| Q2 2028 | 9.34 | 4.41 | 0.00 | 28.07 |
| Q3 2028 | 9.16 | 4.33 | 0.00 | 32.90 |
| Q4 2028 | 9.60 | 4.54 | 0.00 | 37.96 |
| Q1 2029 | 10.11 | 12.43 | 2.37 | 35.64 |
| Q2 2029 | 11.03 | 13.36 | 2.37 | 33.32 |
| Q3 2029 | 10.80 | 13.13 | 2.37 | 30.99 |

| Quarter | Book tax | Paid cash tax | Reversal cash | Closing pool |
|---|---|---|---|---|
| Q4 2029 | 11.21 | 13.54 | 2.37 | 28.65 |
| Q1 2030 | 11.55 | 13.89 | 2.37 | 26.31 |
| Q2 2030 | 12.55 | 14.89 | 2.37 | 23.97 |
| Q3 2030 | 12.26 | 14.61 | 2.37 | 21.63 |
| Q4 2030 | 12.61 | 14.96 | 2.37 | 19.28 |

Source: N11 income-tax notes; selected separate cash-tax endpoints and finite reversal mechanics.

# Quarterly liquidity and owned-book evidence

The liquidity chart shows cash after operating costs, investments, principal, interest, taxes, capital spending and external financing. It combines distinct sources and uses; the issuer's reported free-cash-flow measure has its own cash-flow definition. Current actual issuer TTM FCF is negative $42.357 billion, and Q3 operating cash flow less net cash capex is negative $33.456 billion.




Expected and extreme selected path liquidity after explicit funding. USD billion.

| Quarter | Opening liquidity | Net movement | Closing liquidity | Minimum path close |
|---|---|---|---|---|
| Q4 2026 | 114.23 | -14.07 | 100.16 | 96.51 |
| Q1 2027 | 100.16 | -10.39 | 89.77 | 73.56 |
| Q2 2027 | 89.77 | -20.41 | 69.36 | 39.83 |
| Q3 2027 | 69.36 | -18.62 | 50.74 | 20.00 |
| Q4 2027 | 50.74 | -25.15 | 25.59 | 20.00 |
| Q1 2028 | 25.59 | 8.28 | 33.86 | 20.00 |
| Q2 2028 | 33.86 | 3.10 | 36.96 | 20.00 |
| Q3 2028 | 36.96 | -5.86 | 31.10 | 20.00 |
| Q4 2028 | 31.10 | -11.10 | 20.00 | 20.00 |
| Q1 2029 | 20.00 | 0.00 | 20.00 | 20.00 |
| Q2 2029 | 20.00 | 0.00 | 20.00 | 20.00 |
| Q3 2029 | 20.00 | 0.00 | 20.00 | 20.00 |
| Q4 2029 | 20.00 | 0.00 | 20.00 | 20.00 |
| Q1 2030 | 20.00 | 12.26 | 32.26 | 20.00 |
| Q2 2030 | 32.26 | 6.21 | 38.47 | 20.00 |
| Q3 2030 | 38.47 | 8.09 | 46.56 | 20.00 |
| Q4 2030 | 46.56 | -10.83 | 35.73 | 20.00 |




Finite owned-asset roll-forward. Prior uncommissioned activation contributes zero new book assets.

| Quarter | Opening core/Leo PPE | Cash/core receipts | Leo additions | PPE D&A | Closing consolidated PPE |
|---|---|---|---|---|---|
| Q4 2026 | 508.86 | 47.81 | 0.00 | 15.37 | 541.31 |
| Q1 2027 | 541.31 | 66.00 | 0.29 | 16.69 | 590.90 |
| Q2 2027 | 590.90 | 72.00 | 0.29 | 18.91 | 644.29 |
| Q3 2027 | 644.29 | 78.00 | 0.37 | 21.35 | 703.23 |
| Q4 2027 | 701.31 | 84.00 | 0.37 | 23.92 | 763.73 |
| Q1 2028 | 761.76 | 74.80 | 0.38 | 26.56 | 812.40 |
| Q2 2028 | 810.38 | 81.60 | 0.38 | 29.18 | 865.85 |
| Q3 2028 | 863.18 | 88.40 | 0.38 | 31.97 | 922.73 |
| Q4 2028 | 920.00 | 95.20 | 0.38 | 35.04 | 983.33 |
| Q1 2029 | 980.55 | 83.60 | 0.39 | 38.20 | 1,029.12 |
| Q2 2029 | 1,026.33 | 91.20 | 0.39 | 41.31 | 1,079.42 |
| Q3 2029 | 1,076.62 | 98.80 | 0.39 | 44.52 | 1,134.10 |
| Q4 2029 | 1,131.29 | 106.40 | 0.39 | 48.00 | 1,192.90 |
| Q1 2030 | 1,190.08 | 90.20 | 0.41 | 51.54 | 1,231.91 |
| Q2 2030 | 1,229.15 | 98.40 | 0.41 | 54.95 | 1,275.70 |
| Q3 2030 | 1,273.00 | 106.60 | 0.41 | 58.45 | 1,324.21 |
| Q4 2030 | 1,321.55 | 114.80 | 0.41 | 62.23 | 1,377.13 |

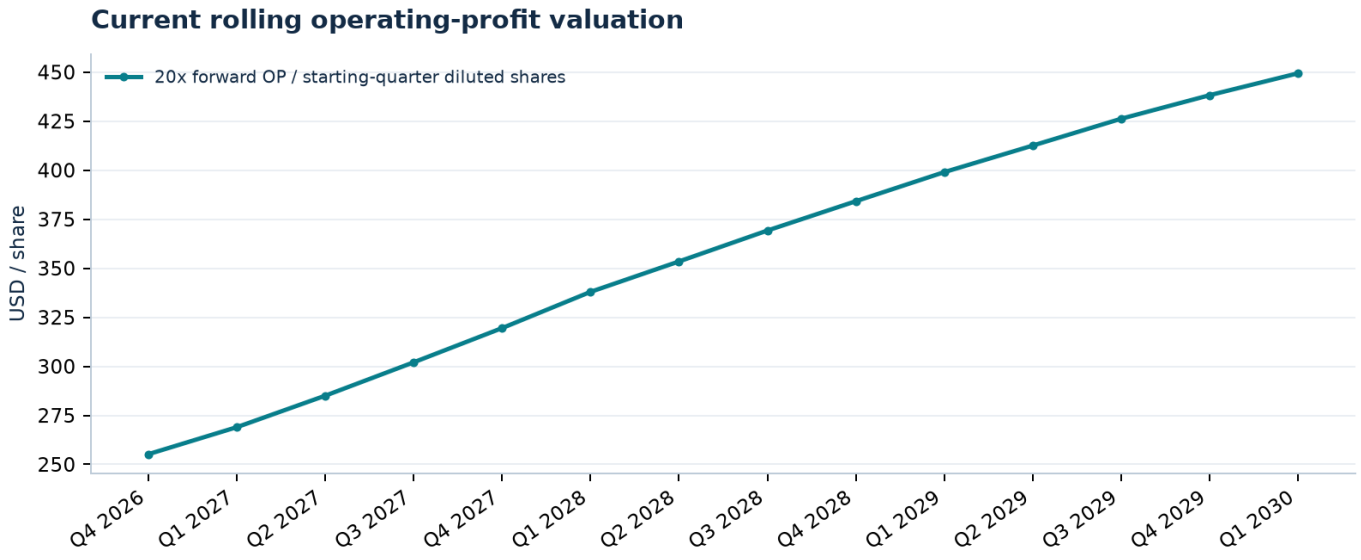
Source: Source cash opening and selected complete current model. Book assets and paid cash retain separate timing and scope.

# The rolling operating-profit valuation

The established method applies 20 times current-quarter plus next-three-quarter operating profit and divides by the starting-quarter diluted share proxy. The selected numerator is the probability-weighted operating-profit sum. The denominator adds the existing conditional acquired shares and newly financed starting-quarter shares to 10,929 million organic shares. Book interest, financing fees and income tax fund and qualify the earnings path while remaining below operating profit under this sanctioned method.

For Q4 2027 the four operating-profit terms are $38.521077 billion, $42.812040 billion, $47.172368 billion and $46.512660 billion. Their $175.018144 billion sum is multiplied by 20. The 10,955.976249 million denominator contains 10,929 million organic shares, 17.998985 million conditional acquired shares and 8.977264 million financing shares. Dividing $3,500.362871 billion by that denominator gives $319.493470 per share.

The model retains the ratio of weighted inputs. The expected value of complete individual case prices is a separate diagnostic, $319.504148 for this quarter. Current historical Excel displays remain exact dated forecast vintages through Q3 2026. Their preserved original assumptions and rolling ceilings are separate from this current reconstruction and current-quarter forecasts.




Current Q4 2026 onward complete rolling valuation windows. Each label names the starting quarter.

| Quarter | Forward OP, $bn | Multiple | Starting diluted shares, m | USD / share |
|---|---|---|---|---|
| Q4 2026 | 139.46 | 20 | 10,929.00 | 255.22 |
| Q1 2027 | 146.98 | 20 | 10,929.00 | 268.98 |
| Q2 2027 | 155.76 | 20 | 10,929.00 | 285.03 |
| Q3 2027 | 165.20 | 20 | 10,938.23 | 302.05 |
| Q4 2027 | 175.02 | 20 | 10,955.98 | 319.49 |
| Q1 2028 | 185.30 | 20 | 10,966.03 | 337.96 |
| Q2 2028 | 193.93 | 20 | 10,973.12 | 353.46 |
| Q3 2028 | 202.78 | 20 | 10,984.13 | 369.23 |
| Q4 2028 | 211.41 | 20 | 11,006.14 | 384.18 |
| Q1 2029 | 220.04 | 20 | 11,029.65 | 399.01 |
| Q2 2029 | 227.90 | 20 | 11,048.69 | 412.54 |

| Quarter | Forward OP, $bn | Multiple | Starting diluted shares, m | USD / share |
|---|---|---|---|---|
| Q3 2029 | 235.96 | 20 | 11,072.16 | 426.22 |
| Q4 2029 | 243.55 | 20 | 11,115.11 | 438.22 |
| Q1 2030 | 250.51 | 20 | 11,148.47 | 449.40 |

Source: Selected current company operating law and preserved 20x OP/share convention. November 2 quote is a dated comparison reference.

# Valuation chain: Q4 2026

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q4 2026 | 31,000.000000 |
| Q1 2027 | 34,040.549170 |
| Q2 2027 | 37,732.156034 |
| Q3 2027 | 36,690.042955 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 139,462.748159 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,929.000000 |
| New financing starting shares, million | 0.000000 |
| Total starting diluted shares, million | 10,929.000000 |
| Calculated valuation, USD/share | 255.215936 |

# Valuation chain: Q1 2027

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q1 2027 | 34,040.549170 |
| Q2 2027 | 37,732.156034 |
| Q3 2027 | 36,690.042955 |
| Q4 2027 | 38,521.076630 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 146,983.824789 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,929.000000 |
| New financing starting shares, million | 0.000000 |
| Total starting diluted shares, million | 10,929.000000 |
| Calculated valuation, USD/share | 268.979458 |

# Valuation chain: Q2 2027

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q2 2027 | 37,732.156034 |
| Q3 2027 | 36,690.042955 |
| Q4 2027 | 38,521.076630 |
| Q1 2028 | 42,812.039617 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 155,755.315236 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,929.000000 |
| New financing starting shares, million | 0.000000 |
| Total starting diluted shares, million | 10,929.000000 |
| Calculated valuation, USD/share | 285.031229 |

# Valuation chain: Q3 2027

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q3 2027 | 36,690.042955 |
| Q4 2027 | 38,521.076630 |
| Q1 2028 | 42,812.039617 |
| Q2 2028 | 47,172.367519 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 165,195.526721 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,937.999492 |
| New financing starting shares, million | 0.226665 |
| Total starting diluted shares, million | 10,938.226157 |
| Calculated valuation, USD/share | 302.051767 |

# Valuation chain: Q4 2027

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q4 2027 | 38,521.076630 |
| Q1 2028 | 42,812.039617 |
| Q2 2028 | 47,172.367519 |
| Q3 2028 | 46,512.659776 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 175,018.143542 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,946.998985 |
| New financing starting shares, million | 8.977264 |
| Total starting diluted shares, million | 10,955.976249 |
| Calculated valuation, USD/share | 319.493470 |

# Valuation chain: Q1 2028

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q1 2028 | 42,812.039617 |
| Q2 2028 | 47,172.367519 |
| Q3 2028 | 46,512.659776 |
| Q4 2028 | 48,807.188433 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 185,304.255345 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,946.998985 |
| New financing starting shares, million | 19.030741 |
| Total starting diluted shares, million | 10,966.029726 |
| Calculated valuation, USD/share | 337.960520 |

# Valuation chain: Q2 2028

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q2 2028 | 47,172.367519 |
| Q3 2028 | 46,512.659776 |
| Q4 2028 | 48,807.188433 |
| Q1 2029 | 51,437.554059 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 193,929.769787 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,949.570268 |
| New financing starting shares, million | 23.552922 |
| Total starting diluted shares, million | 10,973.123190 |
| Calculated valuation, USD/share | 353.463214 |

# Valuation chain: Q3 2028

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q3 2028 | 46,512.659776 |
| Q4 2028 | 48,807.188433 |
| Q1 2029 | 51,437.554059 |
| Q2 2029 | 56,025.213782 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 202,782.616049 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 31.984993 |
| Total starting diluted shares, million | 10,984.126545 |
| Calculated valuation, USD/share | 369.228478 |

# Valuation chain: Q4 2028

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q4 2028 | 48,807.188433 |
| Q1 2029 | 51,437.554059 |
| Q2 2029 | 56,025.213782 |
| Q3 2029 | 55,144.219636 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 211,414.175909 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 53.995904 |
| Total starting diluted shares, million | 11,006.137456 |
| Calculated valuation, USD/share | 384.175060 |

# Valuation chain: Q1 2029

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q1 2029 | 51,437.554059 |
| Q2 2029 | 56,025.213782 |
| Q3 2029 | 55,144.219636 |
| Q4 2029 | 57,437.358931 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 220,044.346407 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 77.503663 |
| Total starting diluted shares, million | 11,029.645215 |
| Calculated valuation, USD/share | 399.005303 |

# Valuation chain: Q2 2029

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q2 2029 | 56,025.213782 |
| Q3 2029 | 55,144.219636 |
| Q4 2029 | 57,437.358931 |
| Q1 2030 | 59,294.411500 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 227,901.203848 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 96.553102 |
| Total starting diluted shares, million | 11,048.694654 |
| Calculated valuation, USD/share | 412.539600 |

# Valuation chain: Q3 2029

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q3 2029 | 55,144.219636 |
| Q4 2029 | 57,437.358931 |
| Q1 2030 | 59,294.411500 |
| Q2 2030 | 64,081.539977 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 235,957.530044 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 120.018524 |
| Total starting diluted shares, million | 11,072.160075 |
| Calculated valuation, USD/share | 426.217700 |

# Valuation chain: Q4 2029

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q4 2029 | 57,437.358931 |
| Q1 2030 | 59,294.411500 |
| Q2 2030 | 64,081.539977 |
| Q3 2030 | 62,732.002339 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 243,545.312747 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 162.967022 |
| Total starting diluted shares, million | 11,115.108574 |
| Calculated valuation, USD/share | 438.223902 |

# Valuation chain: Q1 2030

The four modeled quarters, their operating earnings and the starting-quarter denominator determine this window. Later-quarter financing enters later starting-quarter share counts. The cost-persistence and financing bounds accompany the main forecast throughout the horizon.

| Operating quarter | OP, USD million |
|---|---|
| Q1 2030 | 59,294.411500 |
| Q2 2030 | 64,081.539977 |
| Q3 2030 | 62,732.002339 |
| Q4 2030 | 64,397.126185 |

| Calculation | Value |
|---|---|
| Forward-four-quarter OP, USD million | 250,505.080001 |
| Operating-profit multiple | 20 |
| Organic plus acquired starting shares, million | 10,952.141552 |
| New financing starting shares, million | 196.326619 |
| Total starting diluted shares, million | 11,148.468171 |
| Calculated valuation, USD/share | 449.398206 |

# Analytical score and the risks that constrain it

The framework score totals 47 of 60 and rounds to 78/100. This supports the High Conviction category. Core distribution, custom silicon and inference demand receive substantial credit. Capital requirements, customer and pricing exposure, tax timing, regulation and acquisition execution constrain the overall result. The standing protected Excel Base remains 82.

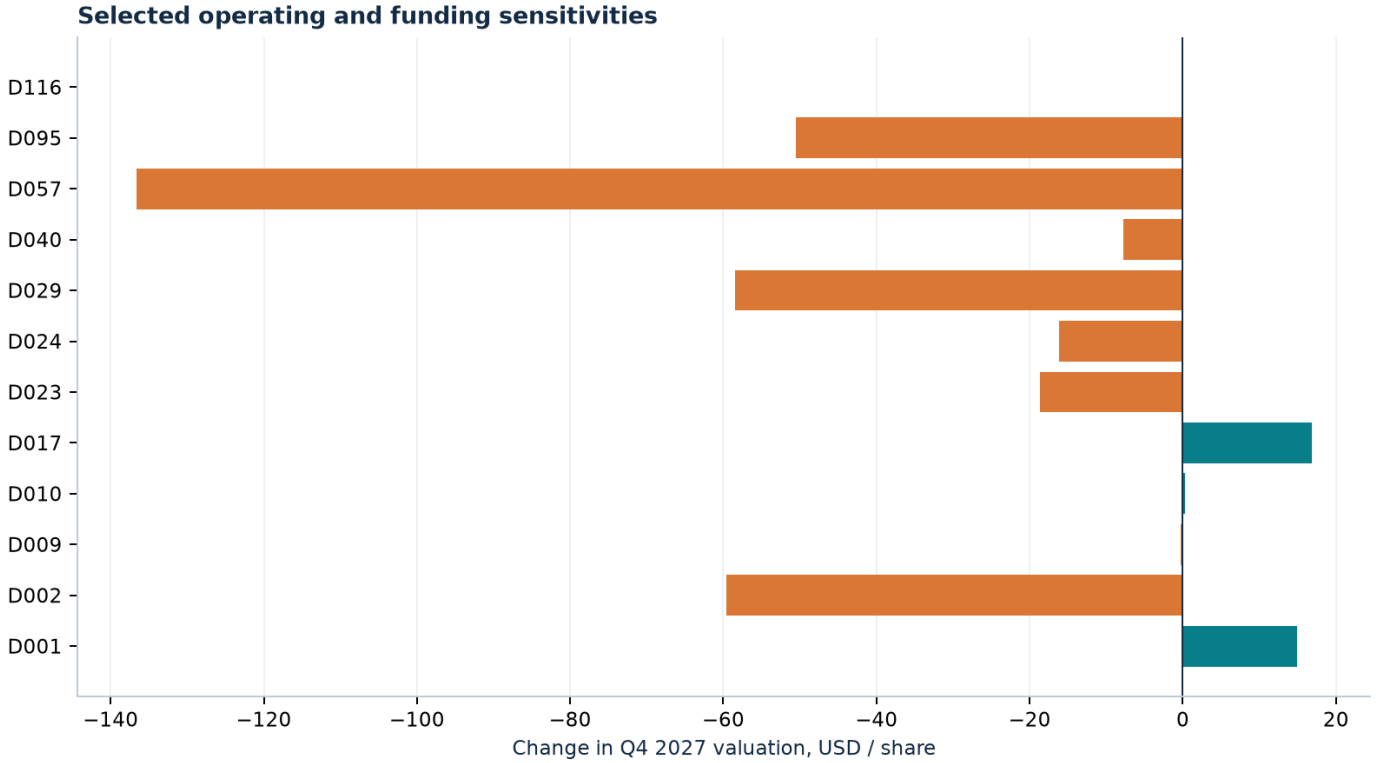
| Category | Points | Evidence and judgment |
|---|---|---|
| Core thesis | 19 / 20 | Cloud/custom silicon plus commerce, fulfillment and advertising distribution retain strong capture; competition is material. |
| Cycle stage | 9 / 10 | Actual 39.3% AWS growth and strong backlog support demand; commissioned capacity and acceptance constrain realization. |
| TAM expansion | 10 / 10 | Paid inference, enterprise agents and external chips broaden one finite AWS wallet; grocery and ads compound commerce. |
| Catalysts | 4 / 5 | Q3 results are realized; next catalysts depend on paid capacity,2027chip qualification and commercial Leo cost timing. |
| Macro | 7 / 10 | Funding, fuel, memory and power costs absorb cash despite strong demand. |
| Alpha | 3 / 5 | Separate paid usage, capital cash, owned depreciation, investment marks and conditional external chips. |
| Risks | -5 | Capital and refinancing: 3 points; customer, price and conversion: 1; regulatory, acquisition, tax and new business: 1. The five-point deduction reaches the framework risk bound. |

A debt-capable base case requires large future funding. Supplier draw discretion, investment funding, equipment delivery and tax cash can shift liquidity before earnings change. The financing and cost bounds therefore receive direct weight in the judgment. New source evidence can justify revised operating probabilities, capital readiness or cost recurrence even when the protected owner score remains fixed.

Source: Current framework, source evidence and selected company scorecard.

# Sensitivity: earnings, paid costs and funding capacity

The full set contains 130 current diagnostics, including all 54 inherited economic hypotheses with their dated source rebindings. Reader labels use the current Q3 cost/mix and September cash anchors, and the October 21 legal-share sensitivity. Original legacy labels and exact rebindings remain in the linked model. Sensitivities change an identified operating, asset, cash, funding or share mechanism and retain the rest of the selected law. Each result carries its paid-capital and funding outcome. Unfunded conditional growth paths have explicit failure labels.




Selected changes in Q4 2027 valuation. Full diagnostic definitions and failure outcomes follow.

| ID | Hypothesis | USD/share | Change | Funding-failure paths |
|---|---|---|---|---|
| D001 | AWS planned conversion100% | 334.39 | 14.90 | 0 |
| D002 | AWS lower conversion100% | 259.93 | -59.56 | 0 |
| D009 | Merchant COGS80% | 319.26 | -0.23 | 0 |
| D010 | Merchant COGS70% | 319.73 | 0.23 | 0 |
| D017 | Server life6years | 336.32 | 16.83 | 0 |
| D023 | Future2027+cash capex20%higher with DA no new revenue | 300.87 | -18.62 | 24 |
| D024 | Coupled four-quarter readiness and cloud growth delay | 303.32 | -16.17 | 6 |
| D029 | Hosted ordinary prices10%lower physical costs retained | 261.07 | -58.43 | 0 |
| D040 | Annual2%share growth stress | 311.70 | -7.79 | 0 |

| ID | Hypothesis | USD/share | Change | Funding-failure paths |
|---|---|---|---|---|
| D057 | AWS only current paid foundation | 182.83 | -136.66 | 48 |
| D095 | Default fixed guide budget recurs every quarter | 268.96 | -50.53 | 0 |
| D116 | Funding funding_equity_cap=200000 | 319.49 | 0.00 | 24 |

# Diagnostic register 1-20

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D001 AWS planned conversion100% | 334.39 | 14.90 | 492.75 | 0 | 76.93 / 24.91 |
| D002 AWS lower conversion100% | 259.93 | -59.56 | 279.93 | 0 | 187.50 / 133.02 |
| D003 No merchant program | 322.13 | 2.64 | 460.55 | 0 | 96.25 / 44.62 |
| D004 Merchant program certain | 317.74 | -1.76 | 441.97 | 0 | 100.91 / 47.81 |
| D005 No Torch commercial adoption; paid readiness retained | 319.24 | -0.25 | 449.38 | 0 | 99.20 / 46.63 |
| D006 Torch fully realized; active paid readiness retained | 319.66 | 0.17 | 449.41 | 0 | 98.94 / 46.47 |
| D007 No pricing premium | 318.98 | -0.51 | 449.37 | 0 | 99.35 / 46.72 |
| D008 Pricing premium certain on eligible cohort | 319.91 | 0.42 | 449.42 | 0 | 98.79 / 46.39 |
| D009 Merchant COGS80% | 319.26 | -0.23 | 448.41 | 0 | 99.29 / 46.71 |
| D010 Merchant COGS70% | 319.73 | 0.23 | 450.39 | 0 | 98.79 / 46.36 |
| D011 AWS analytical Q3 COGS 10%; group calibration retained | 320.84 | 1.35 | 453.56 | 0 | 97.47 / 45.44 |
| D012 AWS analytical Q3 COGS 20%; group calibration retained | 318.15 | -1.35 | 445.23 | 0 | 100.62 / 47.63 |
| D013 Energy reversal allocated entirely Retail | 319.69 | 0.20 | 450.02 | 0 | 98.81 / 46.41 |
| D014 Energy reversal allocated half Retail half AWS | 319.59 | 0.10 | 449.71 | 0 | 98.93 / 46.47 |
| D015 Existing DA no retirement | 310.67 | -8.83 | 430.02 | 0 | 97.27 / 44.84 |
| D016 Existing DA10% annual retirement | 328.01 | 8.52 | 466.01 | 0 | 100.69 / 48.08 |
| D017 Server life6years | 336.32 | 16.83 | 500.03 | 0 | 102.80 / 50.35 |
| D018 Building life20years | 319.30 | -0.20 | 444.57 | 0 | 98.85 / 46.29 |
| D019 Building life40years | 319.59 | 0.10 | 451.81 | 0 | 99.14 / 46.66 |
| D020 New capital mix80%server15%building5%land | 305.23 | -14.27 | 409.77 | 0 | 95.98 / 43.46 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 21-40

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D021 No prior unactivated capital reserve | 322.20 | 2.71 | 452.01 | 0 | 99.45 / 46.88 |
| D022 Prior unactivated reserve40000M | 311.38 | -8.12 | 441.55 | 0 | 97.82 / 45.49 |
| D023 Future2027+cash capex20%higher with DA no new revenue | 300.87 | -18.62 | 365.92 | 24 | 187.50 / 229.34 |
| D024 Coupled four-quarter readiness and cloud growth delay | 303.32 | -16.17 | 430.54 | 6 | 187.50 / 170.76 |
| D025 Additional Retail healthcare500M annual2027+ | 318.58 | -0.92 | 448.41 | 0 | 99.86 / 47.15 |
| D026 All wage budgets100%operating recurring zero overlap | 315.25 | -4.25 | 444.51 | 0 | 103.03 / 49.54 |
| D027 Advertising mix flat at Q3 actual | 315.05 | -4.45 | 435.72 | 0 | 103.89 / 50.90 |
| D028 Retail variable inputs4%inflation | 292.65 | -26.84 | 368.15 | 0 | 138.60 / 74.63 |
| D029 Hosted ordinary prices10%lower physical costs retained | 261.07 | -58.43 | 343.95 | 0 | 172.42 / 100.22 |
| D030 Residual uncommenced lease cost10%cohort50%overlap | 318.42 | -1.08 | 448.26 | 0 | 100.10 / 47.32 |
| D031 September cash-only starting liquidity 55,783M | 317.76 | -1.73 | 444.19 | 0 | 138.59 / 72.05 |
| D032 Anthropic remaining15000M paid2027 | 319.42 | -0.07 | 448.95 | 0 | 102.99 / 49.12 |
| D033 No remaining Anthropic facility draw | 319.59 | 0.10 | 450.04 | 0 | 93.13 / 42.66 |
| D034 Globalstar15000M cash-equivalent Q22027 stress | 319.35 | -0.14 | 448.64 | 0 | 105.67 / 50.88 |
| D035 Additional award cash3000M annual2027+ | 319.46 | -0.04 | 448.72 | 0 | 104.82 / 50.96 |
| D036 All three cash shocks full-liquid starting capital | 319.14 | -0.35 | 447.49 | 0 | 115.61 / 57.86 |
| D037 Cash-only start plus all three cash shocks | 316.98 | -2.51 | 441.48 | 0 | 154.68 / 84.46 |
| D038 October 21 legal shares plus current 132M treasury-method effect | 319.02 | -0.47 | 448.75 | 0 | 99.04 / 46.54 |
| D039 Annual1%share growth stress | 315.55 | -3.94 | 434.31 | 0 | 99.04 / 46.54 |
| D040 Annual2%share growth stress | 311.70 | -7.79 | 419.86 | 0 | 99.04 / 46.54 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 41-60

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D041 No Globalstar acquisition | 320.72 | 1.22 | 451.37 | 0 | 95.56 / 44.31 |
| D042 Globalstar all close Q3 2027 | 319.11 | -0.38 | 449.18 | 0 | 99.46 / 46.80 |
| D043 Globalstar lower sales100% | 319.35 | -0.14 | 449.17 | 0 | 99.18 / 46.64 |
| D044 Globalstar dated high sales100% | 319.59 | 0.10 | 449.55 | 0 | 98.95 / 46.46 |
| D045 Globalstar additional finite intangible PPA zero | 320.06 | 0.57 | 450.03 | 0 | 99.13 / 46.61 |
| D046 Globalstar additional finite intangible PPA2000M15years | 319.87 | 0.38 | 449.82 | 0 | 99.10 / 46.58 |
| D047 Globalstar additional finite intangible PPA6000M8years | 319.00 | -0.50 | 448.84 | 0 | 98.97 / 46.47 |
| D048 Globalstar additional PPE stepup zero | 319.61 | 0.12 | 449.53 | 0 | 99.06 / 46.55 |
| D049 Globalstar additional PPE stepup2000M | 319.38 | -0.12 | 449.27 | 0 | 99.03 / 46.52 |
| D050 Globalstar network readiness and paid-sales growth four-quarter delay | 319.50 | 0.01 | 449.48 | 0 | 99.06 / 46.55 |
| D051 Globalstar new space asset life15years | 319.51 | 0.01 | 449.46 | 0 | 99.05 / 46.54 |
| D052 Globalstar new space asset life10years | 319.48 | -0.01 | 449.34 | 0 | 99.04 / 46.53 |
| D053 Globalstar all-stock share proxy only | 319.14 | -0.35 | 448.78 | 0 | 99.04 / 46.54 |
| D054 Globalstar incremental PPA no cash tax shield | 319.49 | 0.00 | 449.39 | 0 | 99.14 / 46.62 |
| D055 Future core capital20%lower | 337.03 | 17.54 | 518.34 | 0 | 4.96 / 1.61 |
| D056 AWS prior selected quarter pool restored | 277.48 | -42.01 | 340.16 | 0 | 169.06 / 89.42 |
| D057 AWS only current paid foundation | 182.83 | -136.66 | 63.13 | 48 | 187.50 / 366.15 |
| D058 One-quarter paid growth and readiness slippage | 313.70 | -5.79 | 446.28 | 0 | 131.09 / 63.99 |
| D059 Capital AP10000 settlement with one-quarter paid-growth/readiness delay | 316.26 | -3.23 | 448.87 | 0 | 131.59 / 64.31 |
| D060 Technology SBC AWS allocation0.5 | 320.37 | 0.88 | 451.90 | 0 | 101.41 / 47.83 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 61-80

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D061 Technology SBC AWS allocation0.9 | 318.61 | -0.88 | 446.90 | 0 | 96.68 / 45.24 |
| D062 Prior residual unactivated reserve20000 | 316.79 | -2.71 | 446.78 | 0 | 98.64 / 46.19 |
| D063 Leo quarterly paid pool0 | 321.22 | 1.73 | 452.83 | 0 | 95.23 / 43.65 |
| D064 Leo quarterly paid pool250 | 320.36 | 0.86 | 451.12 | 0 | 97.13 / 45.09 |
| D065 Leo quarterly paid pool1000 | 317.77 | -1.72 | 445.95 | 0 | 102.86 / 49.42 |
| D066 Leo timing certain start_Q1_2027 | 319.67 | 0.17 | 449.45 | 0 | 99.06 / 46.55 |
| D067 Leo timing certain start_Q3_2027 | 319.97 | 0.47 | 449.74 | 0 | 99.04 / 46.53 |
| D068 Leo timing certain expense_through_horizon | 317.35 | -2.15 | 448.38 | 0 | 98.97 / 46.46 |
| D069 Leo qualification0.5 | 318.69 | -0.81 | 449.01 | 0 | 99.01 / 46.51 |
| D070 Leo qualification1 | 320.03 | 0.54 | 449.65 | 0 | 99.06 / 46.55 |
| D071 Leo book life3 | 319.08 | -0.41 | 448.52 | 0 | 99.03 / 46.52 |
| D072 Leo book life7 | 319.67 | 0.18 | 449.93 | 0 | 99.05 / 46.54 |
| D073 Leo ready delayed2quarters | 319.76 | 0.27 | 449.69 | 0 | 99.05 / 46.54 |
| D074 Leo book-aligned current-tax basis | 319.49 | 0.00 | 449.37 | 0 | 99.27 / 46.70 |
| D075 Near-term current cash tax rate0.05 | 319.60 | 0.11 | 450.27 | 0 | 90.23 / 42.11 |
| D076 Near-term current cash tax rate0.21 | 319.19 | -0.30 | 447.47 | 0 | 118.57 / 56.24 |
| D077 No analytical tax deferral | 319.18 | -0.31 | 447.43 | 0 | 118.93 / 56.47 |
| D078 Full fixed end2028 pool reversal in2029 | 319.49 | 0.00 | 447.49 | 0 | 117.41 / 56.00 |
| D079 Slower10% annual original-pool reversal | 319.49 | 0.00 | 449.80 | 0 | 95.37 / 43.33 |
| D080 Supplier take-up probability0 | 318.96 | -0.53 | 444.80 | 0 | 134.85 / 68.90 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 81-100

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D081 Supplier take-up probability1 | 319.67 | 0.18 | 450.95 | 0 | 87.11 / 39.08 |
| D082 Supplier conditional total40000 | 319.30 | -0.19 | 447.43 | 0 | 116.68 / 57.76 |
| D083 Supplier conditional total80000 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D084 Supplier annual rate0.05 | 319.49 | 0.00 | 449.47 | 0 | 98.37 / 45.99 |
| D085 Supplier annual rate0.08 | 319.49 | 0.00 | 449.26 | 0 | 100.39 / 47.62 |
| D086 Supplier four-quarter delay drops out-of-window draws | 318.96 | -0.53 | 446.81 | 0 | 121.14 / 60.38 |
| D087 Supplier direct-to-vendor presentation equivalence | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D088 Operating growth WC fraction0.04 | 319.65 | 0.16 | 452.39 | 0 | 70.48 / 26.65 |
| D089 Operating growth WC fraction0.12 | 319.22 | -0.27 | 445.98 | 0 | 128.67 / 67.10 |
| D090 Signed operating WC release behavior | 319.58 | 0.09 | 451.33 | 0 | 82.92 / 32.06 |
| D091 Recurring source-scaled5708 operating cash drain replaces growth proxy | 319.48 | -0.01 | 447.80 | 0 | 112.51 / 57.29 |
| D092 Q4 fixed guide budget calibrated to28500 | 314.16 | -5.34 | 440.98 | 0 | 105.80 / 51.64 |
| D093 Q4 fixed guide budget calibrated to33500 | 324.83 | 5.34 | 457.80 | 0 | 92.29 / 41.41 |
| D094 Zero additional guidance expense budget | 338.19 | 18.70 | 478.99 | 0 | 75.26 / 28.86 |
| D095 Default fixed guide budget recurs every quarter | 268.96 | -50.53 | 380.27 | 0 | 150.87 / 83.04 |
| D096 Equity100B net raise with fee and dated discounted price | 303.31 | -16.18 | 433.94 | 84 | 0.00 / 102.04 |
| D097 Debt100B net raise7% with fee and five-year maturity | 319.76 | 0.26 | 457.45 | 84 | 102.04 / 0.00 |
| D098 Zero past-exposure tax settlement | 319.49 | 0.00 | 449.50 | 0 | 98.11 / 45.92 |
| D099 Full7300 past-exposure tax settlement | 319.49 | 0.00 | 448.97 | 0 | 102.79 / 48.99 |
| D100 Expected1460 tax settlement delayed toQ4 2029 | 319.49 | 0.00 | 449.40 | 0 | 98.99 / 46.52 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 101-120

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D101 Source content ROU prepaid cash-timing pool | 319.41 | -0.09 | 448.85 | 0 | 104.36 / 48.35 |
| D102 Tax continued-expensing endpoint7.25% | 319.57 | 0.08 | 449.88 | 0 | 94.16 / 44.11 |
| D103 Tax no-expensing endpoint21% | 319.19 | -0.30 | 447.47 | 0 | 118.57 / 56.24 |
| D104 GS legacy PPE allocation0.5 | 319.49 | 0.00 | 449.40 | 0 | 99.05 / 46.53 |
| D105 GS legacy PPE allocation1 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D106 GS nondepreciable reserve0 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.53 |
| D107 GS nondepreciable reserve3.908 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D108 GS replacement maintenance fraction0 | 319.49 | 0.00 | 449.51 | 0 | 99.02 / 46.51 |
| D109 GS replacement maintenance fraction1 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D110 Funding funding_debt_route_probability=0 | 318.71 | -0.78 | 428.63 | 0 | 0.00 / 140.64 |
| D111 Funding funding_debt_route_probability=1 | 319.76 | 0.26 | 456.78 | 0 | 132.06 / 15.17 |
| D112 Funding funding_debt_cap=0 | 318.71 | -0.78 | 428.63 | 0 | 0.00 / 140.64 |
| D113 Funding funding_debt_cap=100000 | 319.49 | 0.00 | 442.52 | 0 | 65.86 / 78.30 |
| D114 Funding funding_debt_cap=250000 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D115 Funding funding_equity_cap=0 | 319.76 | 0.26 | 457.45 | 72 | 99.04 / 0.00 |
| D116 Funding funding_equity_cap=200000 | 319.49 | 0.00 | 449.80 | 24 | 99.04 / 41.31 |
| D117 Funding funding_equity_cap=500000 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |
| D118 Funding funding_issue_price=122.815 | 319.39 | -0.10 | 446.25 | 0 | 99.04 / 46.54 |
| D119 Funding funding_issue_price=245.63 | 319.57 | 0.08 | 451.79 | 0 | 99.04 / 46.54 |
| D120 Funding funding_issue_price=171.94099999999997 | 319.49 | 0.00 | 449.40 | 0 | 99.04 / 46.54 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Diagnostic register 121-130

| ID / hypothesis | Q4 2027, $ | Change, $ | Last complete window, $ | Floor-failure paths | Expected final debt/equity, $bn |
|---|---|---|---|---|---|
| D121 Funding funding_coupon=0.05 | 319.49 | 0.00 | 449.46 | 0 | 98.26 / 45.43 |
| D122 Funding funding_coupon=0.1 | 319.49 | 0.00 | 449.29 | 0 | 100.25 / 48.22 |
| D123 Funding funding_debt_fee=0 | 319.49 | 0.00 | 449.41 | 0 | 98.73 / 46.35 |
| D124 Funding funding_debt_fee=0.02 | 319.49 | 0.00 | 449.35 | 0 | 100.00 / 47.10 |
| D125 Funding funding_equity_fee=0.01 | 319.50 | 0.00 | 449.48 | 0 | 99.04 / 46.06 |
| D126 Funding funding_equity_fee=0.04 | 319.49 | -0.01 | 449.23 | 0 | 99.04 / 47.50 |
| D127 Funding funding_floor=0 | 319.67 | 0.17 | 450.81 | 0 | 86.03 / 37.94 |
| D128 Funding funding_floor=40000 | 319.12 | -0.37 | 447.89 | 0 | 112.43 / 55.15 |
| D129 No market funding finite cap failure | 319.76 | 0.26 | 457.45 | 96 | 0.00 / 0.00 |
| D130 Unselected effective10% endogenous-funding approximation | 319.53 | 0.04 | 449.41 | 0 | 98.98 / 46.55 |

Each diagnostic is a conditional calculation under its stated parameters. The full linked model retains the exact controls and saved output identities. Source and economic scope govern which alternative could become an updated forecast.

# Quarterly operating and cash schedules

All values in the following schedules are probability-weighted current reconstructions in USD million. The full linked model retains 96 complete cash paths, the six acquisition outcomes, finite asset cohorts and all conditional controls. Summed expected fields retain their own definitions; funding, capex, acquisition consideration and ordinary cash movements remain distinct.

| Quarter | Revenue | COGS | Analytical GP | Operating costs | Operating profit |
|---|---|---|---|---|---|
| Q4 2026 | 243,610.8 | 112,879.4 | 130,731.4 | 99,731.4 | 31,000.0 |
| Q1 2027 | 220,807.0 | 100,101.9 | 120,705.0 | 86,664.5 | 34,040.5 |
| Q2 2027 | 237,643.3 | 106,742.1 | 130,901.2 | 93,169.0 | 37,732.2 |
| Q3 2027 | 235,997.3 | 104,433.4 | 131,563.9 | 94,873.8 | 36,690.0 |
| Q4 2027 | 286,829.9 | 127,244.9 | 159,584.9 | 121,063.8 | 38,521.1 |
| Q1 2028 | 262,808.7 | 112,281.1 | 150,527.7 | 107,715.6 | 42,812.0 |
| Q2 2028 | 281,987.3 | 119,523.5 | 162,463.8 | 115,291.4 | 47,172.4 |
| Q3 2028 | 280,682.4 | 116,911.3 | 163,771.1 | 117,258.4 | 46,512.7 |
| Q4 2028 | 337,880.1 | 141,749.6 | 196,130.5 | 147,323.3 | 48,807.2 |
| Q1 2029 | 308,031.5 | 125,063.7 | 182,967.9 | 131,530.3 | 51,437.6 |
| Q2 2029 | 328,864.8 | 132,802.9 | 196,061.9 | 140,036.7 | 56,025.2 |
| Q3 2029 | 327,228.4 | 129,815.5 | 197,412.9 | 142,268.7 | 55,144.2 |
| Q4 2029 | 390,652.6 | 156,981.4 | 233,671.2 | 176,233.8 | 57,437.4 |
| Q1 2030 | 355,286.2 | 138,379.7 | 216,906.5 | 157,612.1 | 59,294.4 |
| Q2 2030 | 378,182.0 | 147,009.8 | 231,172.2 | 167,090.6 | 64,081.5 |
| Q3 2030 | 375,613.7 | 143,588.9 | 232,024.8 | 169,292.8 | 62,732.0 |
| Q4 2030 | 445,117.5 | 173,378.5 | 271,739.0 | 207,341.9 | 64,397.1 |

# Paid operating and capital uses

| Quarter | OP | SBC addback | PPE D&A | Core capex | Leo capex | GS projects |
|---|---|---|---|---|---|---|
| Q4 2026 | 31,000.0 | 6,330.1 | 15,367.4 | 47,812.0 | 0.0 | 0.0 |
| Q1 2027 | 34,040.5 | 6,085.4 | 16,691.1 | 66,000.0 | 288.4 | 0.0 |
| Q2 2027 | 37,732.2 | 6,535.9 | 18,906.2 | 72,000.0 | 288.4 | 0.0 |
| Q3 2027 | 36,690.0 | 6,644.8 | 21,363.2 | 78,000.0 | 370.8 | 35.0 |
| Q4 2027 | 38,521.1 | 7,785.5 | 23,946.5 | 84,000.0 | 370.8 | 70.0 |
| Q1 2028 | 42,812.0 | 7,643.9 | 26,596.0 | 74,800.0 | 381.9 | 87.5 |
| Q2 2028 | 47,172.4 | 8,183.1 | 29,226.2 | 81,600.0 | 381.9 | 100.0 |
| Q3 2028 | 46,512.7 | 8,342.4 | 32,016.7 | 88,400.0 | 381.9 | 112.5 |
| Q4 2028 | 48,807.2 | 9,650.9 | 35,095.9 | 95,200.0 | 381.9 | 112.5 |
| Q1 2029 | 51,437.6 | 9,347.2 | 38,264.0 | 83,600.0 | 393.4 | 67.5 |
| Q2 2029 | 56,025.2 | 9,940.3 | 41,367.4 | 91,200.0 | 393.4 | 67.5 |
| Q3 2029 | 55,144.2 | 10,115.6 | 44,580.5 | 98,800.0 | 393.4 | 67.5 |
| Q4 2029 | 57,437.4 | 11,585.2 | 48,061.0 | 106,400.0 | 393.4 | 67.5 |
| Q1 2030 | 59,294.4 | 11,148.6 | 51,607.5 | 90,200.0 | 405.2 | 13.5 |
| Q2 2030 | 64,081.5 | 11,783.7 | 55,022.7 | 98,400.0 | 405.2 | 13.5 |
| Q3 2030 | 62,732.0 | 11,943.3 | 58,517.4 | 106,600.0 | 405.2 | 13.5 |
| Q4 2030 | 64,397.1 | 13,533.1 | 62,295.9 | 114,800.0 | 405.2 | 13.5 |

# Working capital, investments and consideration

| Quarter | Organic WC | GS WC | GS recoup | Anthropic | GS consideration | Lease timing |
|---|---|---|---|---|---|---|
| Q4 2026 | 13,329.4 | 0.0 | 0.0 | 0.0 | 0.0 | 378.8 |
| Q1 2027 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 343.2 |
| Q2 2027 | 5,385.4 | 0.0 | 0.0 | 4,500.0 | 0.0 | 369.3 |
| Q3 2027 | 0.0 | 0.0 | 0.0 | 0.0 | 3,850.0 | 366.7 |
| Q4 2027 | 16,251.7 | 0.0 | 7.1 | 4,500.0 | 0.0 | 445.7 |
| Q1 2028 | 0.0 | 8.1 | 7.1 | 0.0 | 0.0 | 408.3 |
| Q2 2028 | 6,129.7 | 0.0 | 8.1 | 0.0 | 1,100.0 | 438.0 |
| Q3 2028 | 0.0 | 0.0 | 9.2 | 0.0 | 0.0 | 436.0 |
| Q4 2028 | 18,299.6 | 0.0 | 15.3 | 0.0 | 0.0 | 524.9 |
| Q1 2029 | 0.0 | 3.9 | 15.3 | 0.0 | 0.0 | 478.7 |
| Q2 2029 | 6,666.7 | 0.0 | 15.3 | 0.0 | 0.0 | 511.1 |
| Q3 2029 | 0.0 | 0.0 | 15.3 | 0.0 | 0.0 | 508.6 |
| Q4 2029 | 20,295.7 | 0.0 | 15.3 | 0.0 | 0.0 | 607.2 |
| Q1 2030 | 0.0 | 5.0 | 15.3 | 0.0 | 0.0 | 552.2 |
| Q2 2030 | 7,326.7 | 0.0 | 15.3 | 0.0 | 0.0 | 587.8 |
| Q3 2030 | 0.0 | 0.0 | 15.3 | 0.0 | 0.0 | 583.8 |
| Q4 2030 | 22,241.2 | 0.0 | 15.3 | 0.0 | 0.0 | 691.9 |

# Existing debt and supplier funding

| Quarter | Debt calendar | Finance lease | Financing obligation | Supplier draw | Supplier interest | Supplier principal |
|---|---|---|---|---|---|---|
| Q4 2026 | 1,413.0 | 730.0 | 171.0 | 0.0 | 0.0 | 0.0 |
| Q1 2027 | 4,141.5 | 489.0 | 184.8 | 7,500.0 | 56.2 | 0.0 |
| Q2 2027 | 4,141.5 | 489.0 | 184.8 | 7,500.0 | 168.8 | 0.0 |
| Q3 2027 | 4,141.5 | 489.0 | 184.8 | 7,500.0 | 281.2 | 0.0 |
| Q4 2027 | 4,141.5 | 489.0 | 184.8 | 7,500.0 | 393.8 | 0.0 |
| Q1 2028 | 4,891.8 | 515.2 | 188.0 | 15,000.0 | 562.5 | 0.0 |
| Q2 2028 | 4,891.8 | 515.2 | 188.0 | 15,000.0 | 787.5 | 0.0 |
| Q3 2028 | 4,891.8 | 515.2 | 188.0 | 0.0 | 900.0 | 0.0 |
| Q4 2028 | 4,891.8 | 515.2 | 188.0 | 0.0 | 900.0 | 0.0 |
| Q1 2029 | 9,796.2 | 456.0 | 191.2 | 0.0 | 900.0 | 0.0 |
| Q2 2029 | 9,796.2 | 456.0 | 191.2 | 0.0 | 900.0 | 0.0 |
| Q3 2029 | 9,796.2 | 456.0 | 191.2 | 0.0 | 900.0 | 0.0 |
| Q4 2029 | 9,796.2 | 456.0 | 191.2 | 0.0 | 900.0 | 0.0 |
| Q1 2030 | 3,122.2 | 350.0 | 194.5 | 0.0 | 900.0 | 0.0 |
| Q2 2030 | 3,122.2 | 350.0 | 194.5 | 0.0 | 900.0 | 0.0 |
| Q3 2030 | 3,122.2 | 350.0 | 194.5 | 0.0 | 900.0 | 0.0 |
| Q4 2030 | 3,122.2 | 350.0 | 194.5 | 0.0 | 900.0 | 0.0 |

# New market funding and cash costs

| Quarter | Gross debt | Debt fee | Coupon | Gross equity | Equity fee | New principal |
|---|---|---|---|---|---|---|
| Q4 2026 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Q1 2027 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Q2 2027 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Q3 2027 | 231.9 | 1.2 | 2.0 | 77.9 | 1.6 | 0.0 |
| Q4 2027 | 8,731.2 | 43.7 | 80.5 | 2,931.2 | 58.6 | 0.0 |
| Q1 2028 | 1,674.4 | 8.4 | 171.5 | 526.0 | 10.5 | 0.0 |
| Q2 2028 | 3,210.6 | 16.1 | 214.2 | 1,029.1 | 20.6 | 0.0 |
| Q3 2028 | 5,832.5 | 29.2 | 293.4 | 1,870.5 | 37.4 | 0.0 |
| Q4 2028 | 17,274.5 | 86.4 | 495.6 | 5,698.6 | 114.0 | 0.0 |
| Q1 2029 | 7,605.2 | 38.0 | 713.3 | 2,385.3 | 47.7 | 0.0 |
| Q2 2029 | 13,008.1 | 65.0 | 893.6 | 4,165.5 | 83.3 | 0.0 |
| Q3 2029 | 11,670.2 | 58.4 | 1,109.6 | 3,903.8 | 78.1 | 0.0 |
| Q4 2029 | 26,420.8 | 132.1 | 1,442.9 | 10,865.4 | 217.3 | 0.0 |
| Q1 2030 | 851.4 | 4.3 | 1,681.5 | 606.4 | 12.1 | 0.0 |
| Q2 2030 | 1,551.4 | 7.8 | 1,702.5 | 1,632.8 | 32.7 | 0.0 |
| Q3 2030 | 980.8 | 4.9 | 1,724.7 | 2,393.4 | 47.9 | 0.0 |
| Q4 2030 | 0.0 | 0.0 | 1,733.3 | 8,449.1 | 169.0 | 0.0 |

# Selected joint cash-path register

The joint register crosses four AWS outcomes, two supplier outcomes, three Leo timing outcomes, two market-funding routes and two near-term tax endpoints. Probabilities sum to one. Cash-tax labels identify the 7.25% or 21% endpoint through 2028; both use 21% from 2029 with their own temporary pools. Acquisition operations and ownership retain their six-outcome weighting inside each operating path. The base case has zero positive-probability funding failures across the full 17-quarter horizon.

| Path | Weight | Min cash, $bn | Debt, $bn | Equity, $bn | New legal shares, m |
|---|---|---|---|---|---|
| 1: planned hosted; supplier zero; Leo Q1 2027; debt first; cash tax 7.25% | 3.360% | 20.00 | 149.17 | 0.00 | 0.0 |
| 2: planned hosted; supplier zero; Leo Q1 2027; debt first; cash tax 21% | 0.840% | 20.00 | 191.17 | 0.00 | 0.0 |
| 3: planned hosted; supplier zero; Leo Q1 2027; equity only; cash tax 7.25% | 1.120% | 20.00 | 0.00 | 142.27 | 827.4 |
| 4: planned hosted; supplier zero; Leo Q1 2027; equity only; cash tax 21% | 0.280% | 20.00 | 0.00 | 180.32 | 1,048.7 |
| 5: planned hosted; supplier zero; Leo Q3 2027; debt first; cash tax 7.25% | 0.960% | 20.00 | 149.14 | 0.00 | 0.0 |
| 6: planned hosted; supplier zero; Leo Q3 2027; debt first; cash tax 21% | 0.240% | 20.00 | 191.14 | 0.00 | 0.0 |
| 7: planned hosted; supplier zero; Leo Q3 2027; equity only; cash tax 7.25% | 0.320% | 20.00 | 0.00 | 142.24 | 827.2 |
| 8: planned hosted; supplier zero; Leo Q3 2027; equity only; cash tax 21% | 0.080% | 20.00 | 0.00 | 180.29 | 1,048.6 |
| 9: planned hosted; supplier zero; Leo expense throughout; debt first; cash tax 7.25% | 0.480% | 20.00 | 149.02 | 0.00 | 0.0 |
| 10: planned hosted; supplier zero; Leo expense throughout; debt first; cash tax 21% | 0.120% | 20.00 | 191.03 | 0.00 | 0.0 |
| 11: planned hosted; supplier zero; Leo expense throughout; equity only; cash tax 7.25% | 0.160% | 20.00 | 0.00 | 142.12 | 826.6 |
| 12: planned hosted; supplier zero; Leo expense throughout; equity only; cash tax 21% | 0.040% | 20.00 | 0.00 | 180.17 | 1,047.9 |
| 13: planned hosted; supplier full; Leo Q1 2027; debt first; cash tax 7.25% | 10.080% | 20.00 | 69.95 | 0.00 | 0.0 |
| 14: planned hosted; supplier full; Leo Q1 2027; debt first; cash tax 21% | 2.520% | 20.00 | 110.47 | 0.00 | 0.0 |
| 15: planned hosted; supplier full; Leo Q1 2027; equity only; cash tax 7.25% | 3.360% | 20.00 | 0.00 | 69.42 | 403.8 |
| 16: planned hosted; supplier full; Leo Q1 2027; equity only; cash tax 21% | 0.840% | 20.00 | 0.00 | 106.91 | 621.8 |
| 17: planned hosted; supplier full; Leo Q3 2027; debt first; cash tax 7.25% | 2.880% | 20.00 | 69.92 | 0.00 | 0.0 |
| 18: planned hosted; supplier full; Leo Q3 2027; debt first; cash tax 21% | 0.720% | 20.00 | 110.44 | 0.00 | 0.0 |
| 19: planned hosted; supplier full; Leo Q3 2027; equity only; cash tax 7.25% | 0.960% | 20.00 | 0.00 | 69.40 | 403.6 |
| 20: planned hosted; supplier full; Leo Q3 2027; equity only; cash tax 21% | 0.240% | 20.00 | 0.00 | 106.88 | 621.6 |
| 21: planned hosted; supplier full; Leo expense throughout; debt first; cash tax 7.25% | 1.440% | 20.00 | 69.80 | 0.00 | 0.0 |
| 22: planned hosted; supplier full; Leo expense throughout; debt first; cash tax 21% | 0.360% | 20.00 | 110.32 | 0.00 | 0.0 |
| 23: planned hosted; supplier full; Leo expense throughout; equity only; cash tax 7.25% | 0.480% | 20.00 | 0.00 | 69.28 | 402.9 |

| Path | Weight | Min cash, $bn | Debt, $bn | Equity, $bn | New legal shares, m |
|---|---|---|---|---|---|
| 24: planned hosted; supplier full; Leo expense throughout; equity only; cash tax 21% | 0.120% | 20.00 | 0.00 | 106.76 | 620.9 |
| 25: planned merchant; supplier zero; Leo Q1 2027; debt first; cash tax 7.25% | 5.040% | 20.00 | 157.08 | 0.00 | 0.0 |
| 26: planned merchant; supplier zero; Leo Q1 2027; debt first; cash tax 21% | 1.260% | 20.00 | 198.68 | 0.00 | 0.0 |
| 27: planned merchant; supplier zero; Leo Q1 2027; equity only; cash tax 7.25% | 1.680% | 20.00 | 0.00 | 149.86 | 871.6 |
| 28: planned merchant; supplier zero; Leo Q1 2027; equity only; cash tax 21% | 0.420% | 20.00 | 0.00 | 187.56 | 1,090.8 |
| 29: planned merchant; supplier zero; Leo Q3 2027; debt first; cash tax 7.25% | 1.440% | 20.00 | 157.05 | 0.00 | 0.0 |
| 30: planned merchant; supplier zero; Leo Q3 2027; debt first; cash tax 21% | 0.360% | 20.00 | 198.65 | 0.00 | 0.0 |
| 31: planned merchant; supplier zero; Leo Q3 2027; equity only; cash tax 7.25% | 0.480% | 20.00 | 0.00 | 149.84 | 871.4 |
| 32: planned merchant; supplier zero; Leo Q3 2027; equity only; cash tax 21% | 0.120% | 20.00 | 0.00 | 187.53 | 1,090.7 |
| 33: planned merchant; supplier zero; Leo expense throughout; debt first; cash tax 7.25% | 0.720% | 20.00 | 156.94 | 0.00 | 0.0 |
| 34: planned merchant; supplier zero; Leo expense throughout; debt first; cash tax 21% | 0.180% | 20.00 | 198.54 | 0.00 | 0.0 |
| 35: planned merchant; supplier zero; Leo expense throughout; equity only; cash tax 7.25% | 0.240% | 20.00 | 0.00 | 149.72 | 870.8 |
| 36: planned merchant; supplier zero; Leo expense throughout; equity only; cash tax 21% | 0.060% | 20.00 | 0.00 | 187.42 | 1,090.0 |
| 37: planned merchant; supplier full; Leo Q1 2027; debt first; cash tax 7.25% | 15.120% | 20.00 | 77.76 | 0.00 | 0.0 |
| 38: planned merchant; supplier full; Leo Q1 2027; debt first; cash tax 21% | 3.780% | 20.00 | 117.95 | 0.00 | 0.0 |
| 39: planned merchant; supplier full; Leo Q1 2027; equity only; cash tax 7.25% | 5.040% | 20.00 | 0.00 | 77.02 | 448.0 |
| 40: planned merchant; supplier full; Leo Q1 2027; equity only; cash tax 21% | 1.260% | 20.00 | 0.00 | 114.15 | 663.9 |
| 41: planned merchant; supplier full; Leo Q3 2027; debt first; cash tax 7.25% | 4.320% | 20.00 | 77.73 | 0.00 | 0.0 |
| 42: planned merchant; supplier full; Leo Q3 2027; debt first; cash tax 21% | 1.080% | 20.00 | 117.92 | 0.00 | 0.0 |
| 43: planned merchant; supplier full; Leo Q3 2027; equity only; cash tax 7.25% | 1.440% | 20.00 | 0.00 | 76.99 | 447.8 |
| 44: planned merchant; supplier full; Leo Q3 2027; equity only; cash tax 21% | 0.360% | 20.00 | 0.00 | 114.12 | 663.7 |
| 45: planned merchant; supplier full; Leo expense throughout; debt first; cash tax 7.25% | 2.160% | 20.00 | 77.61 | 0.00 | 0.0 |
| 46: planned merchant; supplier full; Leo expense throughout; debt first; cash tax 21% | 0.540% | 20.00 | 117.81 | 0.00 | 0.0 |
| 47: planned merchant; supplier full; Leo expense throughout; equity only; cash tax 7.25% | 0.720% | 20.00 | 0.00 | 76.88 | 447.1 |

| Path | Weight | Min cash, $bn | Debt, $bn | Equity, $bn | New legal shares, m |
|---|---|---|---|---|---|
| 48: planned merchant; supplier full; Leo expense throughout; equity only; cash tax 21% | 0.180% | 20.00 | 0.00 | 114.01 | 663.1 |
| 49: lower hosted; supplier zero; Leo Q1 2027; debt first; cash tax 7.25% | 0.840% | 20.00 | 250.00 | 124.94 | 726.6 |
| 50: lower hosted; supplier zero; Leo Q1 2027; debt first; cash tax 21% | 0.210% | 20.00 | 250.00 | 148.59 | 864.2 |
| 51: lower hosted; supplier zero; Leo Q1 2027; equity only; cash tax 7.25% | 0.280% | 20.00 | 0.00 | 347.50 | 2,021.1 |
| 52: lower hosted; supplier zero; Leo Q1 2027; equity only; cash tax 21% | 0.070% | 20.00 | 0.00 | 367.95 | 2,140.0 |
| 53: lower hosted; supplier zero; Leo Q3 2027; debt first; cash tax 7.25% | 0.240% | 20.00 | 250.00 | 124.88 | 726.3 |
| 54: lower hosted; supplier zero; Leo Q3 2027; debt first; cash tax 21% | 0.060% | 20.00 | 250.00 | 148.54 | 863.9 |
| 55: lower hosted; supplier zero; Leo Q3 2027; equity only; cash tax 7.25% | 0.080% | 20.00 | 0.00 | 347.44 | 2,020.7 |
| 56: lower hosted; supplier zero; Leo Q3 2027; equity only; cash tax 21% | 0.020% | 20.00 | 0.00 | 367.90 | 2,139.7 |
| 57: lower hosted; supplier zero; Leo expense throughout; debt first; cash tax 7.25% | 0.120% | 20.00 | 250.00 | 124.65 | 724.9 |
| 58: lower hosted; supplier zero; Leo expense throughout; debt first; cash tax 21% | 0.030% | 20.00 | 250.00 | 148.31 | 862.5 |
| 59: lower hosted; supplier zero; Leo expense throughout; equity only; cash tax 7.25% | 0.040% | 20.00 | 0.00 | 347.21 | 2,019.4 |
| 60: lower hosted; supplier zero; Leo expense throughout; equity only; cash tax 21% | 0.010% | 20.00 | 0.00 | 367.67 | 2,138.3 |
| 61: lower hosted; supplier full; Leo Q1 2027; debt first; cash tax 7.25% | 2.520% | 20.00 | 250.00 | 46.16 | 268.5 |
| 62: lower hosted; supplier full; Leo Q1 2027; debt first; cash tax 21% | 0.630% | 20.00 | 250.00 | 70.91 | 412.4 |
| 63: lower hosted; supplier full; Leo Q1 2027; equity only; cash tax 7.25% | 0.840% | 20.00 | 0.00 | 278.34 | 1,618.8 |
| 64: lower hosted; supplier full; Leo Q1 2027; equity only; cash tax 21% | 0.210% | 20.00 | 0.00 | 298.41 | 1,735.5 |
| 65: lower hosted; supplier full; Leo Q3 2027; debt first; cash tax 7.25% | 0.720% | 20.00 | 250.00 | 46.10 | 268.1 |
| 66: lower hosted; supplier full; Leo Q3 2027; debt first; cash tax 21% | 0.180% | 20.00 | 250.00 | 70.85 | 412.0 |
| 67: lower hosted; supplier full; Leo Q3 2027; equity only; cash tax 7.25% | 0.240% | 20.00 | 0.00 | 278.28 | 1,618.5 |
| 68: lower hosted; supplier full; Leo Q3 2027; equity only; cash tax 21% | 0.060% | 20.00 | 0.00 | 298.35 | 1,735.2 |
| 69: lower hosted; supplier full; Leo expense throughout; debt first; cash tax 7.25% | 0.360% | 20.00 | 250.00 | 45.86 | 266.7 |
| 70: lower hosted; supplier full; Leo expense throughout; debt first; cash tax 21% | 0.090% | 20.00 | 250.00 | 70.61 | 410.7 |
| 71: lower hosted; supplier full; Leo expense throughout; equity only; cash tax 7.25% | 0.120% | 20.00 | 0.00 | 278.05 | 1,617.1 |
| 72: lower hosted; supplier full; Leo expense throughout; equity only; cash tax 21% | 0.030% | 20.00 | 0.00 | 298.12 | 1,733.9 |
| 73: lower merchant; supplier zero; Leo Q1 2027; debt first; cash tax 7.25% | 1.260% | 20.00 | 250.00 | 133.39 | 775.8 |
| 74: lower merchant; supplier zero; Leo Q1 2027; debt first; cash tax 21% | 0.315% | 20.00 | 250.00 | 156.86 | 912.3 |
| 75: lower merchant; supplier zero; Leo Q1 2027; equity only; cash tax 7.25% | 0.420% | 20.00 | 0.00 | 355.76 | 2,069.1 |
| 76: lower merchant; supplier zero; Leo Q1 2027; equity only; cash tax 21% | 0.105% | 20.00 | 0.00 | 376.10 | 2,187.4 |
| 77: lower merchant; supplier zero; Leo Q3 2027; debt first; cash tax 7.25% | 0.360% | 20.00 | 250.00 | 133.33 | 775.4 |

| Path | Weight | Min cash, $bn | Debt, $bn | Equity, $bn | New legal shares, m |
|---|---|---|---|---|---|
| 78: lower merchant; supplier zero; Leo Q3 2027; debt first; cash tax 21% | 0.090% | 20.00 | 250.00 | 156.80 | 911.9 |
| 79: lower merchant; supplier zero; Leo Q3 2027; equity only; cash tax 7.25% | 0.120% | 20.00 | 0.00 | 355.71 | 2,068.8 |
| 80: lower merchant; supplier zero; Leo Q3 2027; equity only; cash tax 21% | 0.030% | 20.00 | 0.00 | 376.04 | 2,187.0 |
| 81: lower merchant; supplier zero; Leo expense throughout; debt first; cash tax 7.25% | 0.180% | 20.00 | 250.00 | 133.10 | 774.1 |
| 82: lower merchant; supplier zero; Leo expense throughout; debt first; cash tax 21% | 0.045% | 20.00 | 250.00 | 156.57 | 910.6 |
| 83: lower merchant; supplier zero; Leo expense throughout; equity only; cash tax 7.25% | 0.060% | 20.00 | 0.00 | 355.48 | 2,067.4 |
| 84: lower merchant; supplier zero; Leo expense throughout; equity only; cash tax 21% | 0.015% | 20.00 | 0.00 | 375.81 | 2,185.7 |
| 85: lower merchant; supplier full; Leo Q1 2027; debt first; cash tax 7.25% | 3.780% | 20.00 | 250.00 | 54.81 | 318.8 |
| 86: lower merchant; supplier full; Leo Q1 2027; debt first; cash tax 21% | 0.945% | 20.00 | 250.00 | 79.26 | 461.0 |
| 87: lower merchant; supplier full; Leo Q1 2027; equity only; cash tax 7.25% | 1.260% | 20.00 | 0.00 | 286.60 | 1,666.9 |
| 88: lower merchant; supplier full; Leo Q1 2027; equity only; cash tax 21% | 0.315% | 20.00 | 0.00 | 306.56 | 1,782.9 |
| 89: lower merchant; supplier full; Leo Q3 2027; debt first; cash tax 7.25% | 1.080% | 20.00 | 250.00 | 54.75 | 318.4 |
| 90: lower merchant; supplier full; Leo Q3 2027; debt first; cash tax 21% | 0.270% | 20.00 | 250.00 | 79.21 | 460.7 |
| 91: lower merchant; supplier full; Leo Q3 2027; equity only; cash tax 7.25% | 0.360% | 20.00 | 0.00 | 286.54 | 1,666.5 |
| 92: lower merchant; supplier full; Leo Q3 2027; equity only; cash tax 21% | 0.090% | 20.00 | 0.00 | 306.50 | 1,782.6 |
| 93: lower merchant; supplier full; Leo expense throughout; debt first; cash tax 7.25% | 0.540% | 20.00 | 250.00 | 54.51 | 317.0 |
| 94: lower merchant; supplier full; Leo expense throughout; debt first; cash tax 21% | 0.135% | 20.00 | 250.00 | 78.97 | 459.3 |
| 95: lower merchant; supplier full; Leo expense throughout; equity only; cash tax 7.25% | 0.180% | 20.00 | 0.00 | 286.31 | 1,665.2 |
| 96: lower merchant; supplier full; Leo expense throughout; equity only; cash tax 21% | 0.045% | 20.00 | 0.00 | 306.27 | 1,781.2 |

# What would change the forecast

Q4 operating cost disclosures can establish the recurring share of the current guidance budget. Paid AWS usage, contract collection, merchant qualification, accepted hardware shipments and commissioned capacity can change conversion and timing. Supplier loan drawings, capital commitments, tax payments, cloud-customer funding and market issuance can alter cash and dilution before the reported operating-profit trend changes.

For retail, the key measurements are revenue mix, shipping cost per activity, inventory placement, wages and accepted third-party fulfillment volumes. For Leo and Globalstar, readiness, approvals, customer terms, paid launch/project costs and finite asset lives determine the operating bridge. The model can be updated when a company-specific bounded outcome, probability, overlap and paid-cost bridge is supported.

Published earlier-quarter forecasts remain preserved at their information vintage. Q3 2026 retains its original $230.29972733893368 rolling ceiling and native numeric meaning in the master and owning model display. The original formulas, detailed graph, source model and recoverable snapshots retain the earlier assumptions. New Q3 actuals calibrate the current forecast through a separate reconstruction.

# Sources and evidence completeness

The October 29 Q3 and July 30 Q2 management-call reproductions were read through prepared remarks, answered Q&A and closing. Third-party full reproductions were checked against issuer financial materials. Official audio files are preserved; independent listening and exact timestamp alignment remain incomplete. A complete issuer transcript was unavailable in the saved retrievals. A failed alternate transcript link remains recorded as a retrieval gap.

Core issuer statements, selected notes, funding terms and complete relevant primary pages were reviewed. Extensive preserved credit exhibits extend beyond the targeted financial read and remain outside a complete legal review. Customer-specific acceptance, chip units and margins, final acquisition elections/PPA, exact future lease starts, asset vintages, award settlements, cash-tax timing and the composition of the current guidance cost budget remain qualified gaps.

Q3 actuals, guidance, management outlook, dated counterparty/transaction disclosures and the selected research assumptions retain separate labels. Current numbers use USD million and shares million before conversion to per-share USD. The following original issuer pages preserve their full page context. Original earlier artifact images remain unchanged in the recoverable source bundle; current charts use the approved current model.

| ID | Public source | Retrieval status | Saved original |
|---|---|---|---|
| N01 | https://ir.aboutamazon.com/files/doc_earnings/2026/q3/earnings-result/AMZN-Q3-2026-Earnings-Release.pdf | saved | N01_Q3_release.pdf |
| N02 | https://ir.aboutamazon.com/news-release/news-release-details/2026/Amazon-com-Announces-Third-Quarter-Results/default.aspx | saved | N02_Q3_release.html |
| N03 | https://s2.q4cdn.com/299287126/files/doc_earnings/2026/q3/presentation/Webslides_Q326.pdf | saved | N03_Q3_slides.pdf |
| N04 | https://ir.aboutamazon.com/events/event-details/ | saved | N04_Q3_event.html |
| N05 | https://data.sec.gov/submissions/CIK0001018724.json | saved | N05_SEC_submissions.json |
| N06 | https://www.aboutamazon.com/news/company-news/aws-growth-ai-demand-q3-2026-earnings | saved | N06_issuer_AWS_management_excerpt.html |
| N07 | https://press.aboutamazon.com/2026/10/amazon-com-to-webcast-third-quarter-2026-financial-results-conference-call | saved | N07_issuer_call_announcement.html |
| N08 | https://ir.aboutamazon.com/feed/FinancialReport.svc/GetFinancialReportList?apiKey=BF185719B0464B3CB809D23926182246&LanguageId=1&pageSize=-1&pageNumber=0&tagList=&includeTags=true&year=2026&excludeSelection=1&reportTypes=First+Quarter%7CSecond+Quarter%7CThird+Quarter%7CFourth+Quarter&reportSubType=First+Quarter%7CSecond+Quarter%7CThird+Quarter%7CFourth+Quarter&reportSubTypeList=First+Quarter%7CSecond+Quarter%7CThird+Quarter%7CFourth+Quarter | saved | N08_financial_feed.json |
| N09 | https://ir.aboutamazon.com/feed/Event.svc/GetEventList?apiKey=BF185719B0464B3CB809D23926182246&LanguageId=1&pageSize=-1&pageNumber=0&tagList=&includeTags=true&year=2026&excludeSelection=1&eventSelection=3&eventDateFilter=3&includeFinancialReports=true&includePresentations=true&includePressReleases=true&sortOperator=1 | saved | N09_event_feed.json |
| N10 | https://www.sec.gov/Archives/edgar/data/1018724/000101872426000040/amzn-20260930.htm | saved | N10_SEC_Q3_10Q.html |
| N11 | https://d18rn0p25nwr6d.cloudfront.net/CIK-0001018724/ee4fffc7-7dfe-40b1-917e-12baa11eb95f.pdf | saved | N11_Q3_10Q_issuer.pdf |
| N12 | https://s2.q4cdn.com/299287126/files/doc_earnings/2026/q3/Q3-2026-Amazon-Earnings-Conference-Call.mp3 | saved | N12_official_Q3_audio.mp3 |
| N13 | https://www.fool.com/earnings/call-transcripts/2026/10/30/amazon-amzn-q3-2026-earnings-call-transcript/ | saved | N13_Q3_management_call_reproduction.html |
| N14 | https://www.sec.gov/Archives/edgar/data/1018724/000101872426000038/amzn-20261029.htm | saved | N14_SEC_Q3_8K.html |

| ID | Public source | Retrieval status | Saved original |
|---|---|---|---|
| N15 | https://finance.yahoo.com/quote/AMZN/earnings/AMZN-Q3-2026-earnings_call-720308.html | failed | N15_Q3_call_Yahoo_Quartr.html |
| N16 | https://www.aboutamazon.com/news/company-news/amazon-custom-chips-demand-q3-2026-earnings | saved | N16_issuer_chips_management_excerpt.html |
| N17 | https://www.aboutamazon.com/news/company-news/amazon-stores-growth-q3-2026-earnings | saved | N17_issuer_stores_management_excerpt.html |
| N18 | https://www.aboutamazon.com/news/company-news/aws-ducklabs | saved | N18_DuckLabs_acquisition.html |

Model provenance: selected R6 inputs, current mechanical clarifications, frozen numerical engine and source registry; complete saved numerical review and Root financial authoring approval. Financial publication and library identities are recorded in the separate publication receipt after all saved-file, native preservation and rendered gates close.

# Primary exhibit E01: Q4 outlook and assumptions

- Announced plans to hire more than 300,000 seasonal, part-time, and full-time employees across its U.S. operations this holiday season.
- Announced $1.5 billion+ investment to raise minimum starting pay for U.S. full-time operations employees to $20 an hour, and added a new grocery discount and lifetime banking benefit for its teammates.

**Financial Guidance**
The following forward-looking statements reflect Amazon.com's expectations as of October 29, 2026, and are subject to substantial uncertainty. Our results are inherently unpredictable and may be materially affected by many factors, such as fluctuations in foreign exchange rates and energy prices, changes in global economic and geopolitical conditions, tariff and trade policies, resource and supply volatility, including for memory chips, and customer demand and spending (including the impact of recessionary fears), inflation, interest rates, regional labor market constraints, world events, the rate of growth of the internet, online commerce, cloud services, and new and emerging technologies, and the various factors detailed below.

Fourth Quarter 2026 Guidance

- Net sales are expected to be between $240.0 billion and $247.0 billion, or to grow between 12% and 16% compared with fourth quarter 2025. This guidance anticipates an unfavorable impact of approximately 60 basis points from foreign exchange rates. Advertising revenue grew 12% year-over-year excluding changes in foreign exchange rates in the third quarter 2026 impacted by timing anomalies primarily related to Prime Day (and a couple other timing factors). We expect year-over-year advertising revenue to grow in the high teens in fourth quarter 2026.
- Operating income is expected to be between $28.5 billion and $33.5 billion, compared with $25.0 billion in fourth quarter 2025.
- We continue to expect 2026 cash capital expenditures to be approximately $220 billion.
- This guidance assumes, among other things, no impact from energy derivative contract remeasurements, and that no additional business acquisitions, restructurings, or legal settlements are concluded.

**Conference Call Information**
A conference call will be webcast live today at 2:00 p.m. PT/5:00 p.m. ET, and will be available for at least three months at amazon.com/ir. This call will contain forward-looking statements and other material information regarding the Company's financial and operating results.

**Forward-Looking Statements**
*These forward-looking statements are inherently difficult to predict. Actual results and outcomes could differ materially for a variety of reasons, including, in addition to the factors discussed above, the amount that Amazon.com invests in new business opportunities and the timing of those investments, the mix of products and services sold to customers, the mix of net sales derived from products as compared with services, the extent to which we owe income or other taxes, competition, management of growth, potential fluctuations in operating results, international growth and expansion, the outcomes of claims, litigation, government investigations, and other proceedings, fulfillment, sortation, delivery, and data center optimization, risks of inventory management, variability in demand, the degree to which the Company enters into, maintains, and develops commercial agreements, proposed and completed acquisitions and strategic transactions, payments risks, and risks of fulfillment throughput and productivity. Other risks and uncertainties include, among others, risks related to new products, services, and technologies, security incidents, system interruptions, government regulation and taxation, and fraud. In addition, global economic and geopolitical conditions and additional or unforeseen circumstances, developments, or events may give rise to or amplify many of these risks. More information about factors that potentially could affect Amazon.com's financial results is included in Amazon.com's filings with the Securities and Exchange Commission ("SEC"), including its most recent Annual Report on Form 10-K and subsequent filings.*

**Additional Information**
Our investor relations website is amazon.com/ir and we encourage investors to use it as a way of easily finding information about us. We promptly make available on this website, free of charge, the reports that we file or furnish with the SEC, corporate governance information (including our Code of Business Conduct and Ethics), and select press releases, which may contain material information about us, and you may subscribe to be notified of new information posted to this site.

Management revenue and OP range, currencies and excluded items. | Original issuer PDF physical page 4.

Source: N01_Q3_release.pdf | Source SHA-256 4a038b395f07bef27476acb27fdf0029ff8fcd1a42d5d021bb0e0a3e29f8cc06

# Primary exhibit E02: Consolidated cash-flow statement

**AMAZON.COM, INC.**
**Consolidated Statements of Cash Flows**
**(in millions)**
**(unaudited)**

| | Three Months Ended September 30, | | Nine Months Ended September 30, | | Twelve Months Ended September 30, | |
|---|---|---|---|---|---|---|
| | 2025 | 2026 | 2025 | 2026 | 2025 | 2026 |
| CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF PERIOD | $ 61,453 | $ 80,927 | $ 82,312 | $ 90,106 | $ 78,677 | $ 70,464 |
| OPERATING ACTIVITIES: | | | | | | |
| Net income | 21,187 | 20,685 | 56,478 | 113,587 | 76,482 | 134,779 |
| Adjustments to reconcile net income to net cash from operating activities: | | | | | | |
| Depreciation and amortization of property and equipment and capitalized content costs, operating lease assets, and other | 16,796 | 20,949 | 46,285 | 59,882 | 61,916 | 79,353 |
| Stock-based compensation | 4,847 | 5,406 | 15,070 | 15,476 | 20,065 | 19,873 |
| Non-operating expense (income), net | (10,112) | 694 | (14,187) | (68,319) | (14,673) | (69,012) |
| Deferred income taxes | 10,130 | 5,033 | 10,648 | 35,522 | 9,040 | 36,344 |
| Changes in operating assets and liabilities: | | | | | | |
| Inventories | (827) | (4,516) | (6,103) | (4,712) | (5,169) | (1,611) |
| Accounts receivable, net and other | (1,977) | (2,127) | (1,855) | (16,081) | (5,878) | (21,559) |
| Other assets | (4,039) | (4,637) | (10,412) | (13,165) | (14,602) | (18,385) |
| Accounts payable | 2,151 | 1,502 | 166 | 2,207 | 8,892 | 13,272 |
| Accrued expenses and other | (1,999) | (3,848) | (11,012) | (13,911) | (6,970) | (7,918) |
| Unearned revenue | (632) | 3,281 | (23) | 3,355 | 1,588 | 3,164 |
| Net cash provided by (used in) operating activities | 35,525 | 42,422 | 85,055 | 113,841 | 130,691 | 168,300 |
| INVESTING ACTIVITIES: | | | | | | |
| Purchases of property and equipment | (35,095) | (77,259) | (92,297) | (175,670) | (120,131) | (215,192) |
| Proceeds from property and equipment sales and incentives | 867 | 1,381 | 2,446 | 3,482 | 4,228 | 4,535 |
| Acquisitions, net of cash acquired, non-marketable investments, and other, net | (786) | (23,986) | (2,438) | (63,753) | (4,973) | (65,156) |
| Sales and maturities of marketable securities | 16,367 | 23,677 | 35,545 | 65,559 | 39,222 | 74,400 |
| Purchases of marketable securities | (7,426) | (37,455) | (38,556) | (86,717) | (51,089) | (102,931) |
| Net cash provided by (used in) investing activities | (26,073) | (113,642) | (95,300) | (257,099) | (132,743) | (304,344) |
| FINANCING ACTIVITIES: | | | | | | |
| Proceeds from short-term debt, and other | 3,223 | 5,307 | 7,131 | 20,693 | 9,685 | 22,882 |
| Repayments of short-term debt, and other | (1,826) | (3,927) | (5,300) | (19,609) | (7,907) | (22,735) |
| Proceeds from long-term debt | — | 48,102 | 746 | 115,100 | 746 | 130,027 |
| Repayments of long-term debt | (1,008) | (7) | (3,759) | (2,759) | (6,259) | (4,021) |
| Principal repayments of finance leases | (351) | (433) | (1,172) | (1,296) | (1,505) | (1,681) |
| Principal repayments of financing obligations | (82) | (107) | (276) | (281) | (698) | (333) |
| Net cash provided by (used in) financing activities | (44) | 48,935 | (2,630) | 111,848 | (5,938) | 124,139 |
| Foreign currency effect on cash, cash equivalents, and restricted cash | (397) | 72 | 1,027 | 18 | (223) | 155 |
| Net increase (decrease) in cash, cash equivalents, and restricted cash | 9,011 | (22,213) | (11,848) | (31,392) | (8,213) | (11,750) |
| CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, END OF PERIOD | $ 70,464 | $ 58,714 | $ 70,464 | $ 58,714 | $ 70,464 | $ 58,714 |
| SUPPLEMENTAL CASH FLOW INFORMATION: | | | | | | |
| Cash paid for interest on debt, net of capitalized interest | $ 249 | $ 1,172 | $ 1,008 | $ 2,182 | $ 1,651 | $ 2,632 |
| Cash paid for operating leases | 4,155 | 4,602 | 11,475 | 12,406 | 14,700 | 15,969 |
| Cash paid for interest on finance leases | 76 | 116 | 219 | 303 | 289 | 379 |
| Cash paid for interest on financing obligations | 52 | 89 | 159 | 215 | 217 | 252 |
| Cash paid for income taxes, net of refunds | 1,136 | 1,315 | 6,774 | 5,293 | 10,920 | 6,814 |
| Assets acquired under operating leases | 5,057 | 7,407 | 13,999 | 21,316 | 18,188 | 27,247 |
| Property and equipment acquired under finance leases, net of remeasurements and modifications | 977 | 1,472 | 1,968 | 3,600 | 2,413 | 4,543 |
| Increase (decrease) in property and equipment acquired but not yet paid | 3,341 | 853 | 4,849 | 21,473 | 7,095 | 26,779 |

Operating cash, cash PPE purchases/incentives, financing, leases and noncash acquisitions. | Original issuer PDF physical page 6.

Source: N01_Q3_release.pdf | Source SHA-256 4a038b395f07bef27476acb27fdf0029ff8fcd1a42d5d021bb0e0a3e29f8cc06

# Primary exhibit E03: Consolidated operating results

**AMAZON.COM, INC.**
**Consolidated Statements of Operations**
**(in millions, except per share data)**
**(unaudited)**

| | Three Months Ended September 30, | | Nine Months Ended September 30, | |
|---|---|---|---|---|
| | 2025 | 2026 | 2025 | 2026 |
| Net product sales | $ 74,058 | $ 75,296 | $ 206,274 | $ 224,202 |
| Net service sales | 106,111 | 126,648 | 297,264 | 359,867 |
| Total net sales | 180,169 | 201,944 | 503,538 | 584,069 |
| Operating expenses: | | | | |
| Cost of sales | 88,670 | 94,573 | 246,455 | 277,814 |
| Fulfillment | 27,679 | 29,997 | 78,248 | 86,919 |
| Technology and infrastructure | 28,962 | 34,814 | 79,122 | 97,539 |
| Sales and marketing | 11,686 | 11,649 | 32,865 | 33,661 |
| General and administrative | 2,875 | 2,701 | 8,468 | 8,076 |
| Other operating expense (income), net | 2,875 | 134 | 3,382 | 671 |
| Total operating expenses | 162,747 | 173,868 | 448,540 | 504,680 |
| Operating income | 17,422 | 28,076 | 54,998 | 79,389 |
| Interest income | 1,100 | 1,187 | 3,251 | 3,617 |
| Interest expense | (538) | (1,691) | (1,595) | (3,805) |
| Other income (expense), net | 10,186 | (703) | 14,052 | 68,359 |
| Total non-operating income (expense) | 10,748 | (1,207) | 15,708 | 68,171 |
| Income before income taxes | 28,170 | 26,869 | 70,706 | 147,560 |
| Provision for income taxes | (6,910) | (6,180) | (14,141) | (33,939) |
| Equity-method investment activity, net of tax | (73) | (4) | (87) | (34) |
| Net income | $ 21,187 | $ 20,685 | $ 56,478 | $ 113,587 |
| Basic earnings per share | $ 1.98 | $ 1.92 | $ 5.31 | $ 10.55 |
| Diluted earnings per share | $ 1.95 | $ 1.89 | $ 5.22 | $ 10.42 |
| Weighted-average shares used in computation of earnings per share: | | | | |
| Basic | 10,674 | 10,797 | 10,638 | 10,770 |
| Diluted | 10,845 | 10,929 | 10,815 | 10,903 |

GAAP sales, all expense categories, operating earnings, nonoperating items and weighted shares. | Original issuer PDF physical page 7.

Source: N01_Q3_release.pdf | Source SHA-256 4a038b395f07bef27476acb27fdf0029ff8fcd1a42d5d021bb0e0a3e29f8cc06

# Primary exhibit E04: Segment information and cloud economics

**AMAZON.COM, INC.**
**Supplemental Financial Information and Business Metrics**
**(in millions)**
**(unaudited)**

| | Q2 2025 | Q3 2025 | Q4 2025 | Q1 2026 | Q2 2026 | Q3 2026 | Y/Y % Change |
|---|---|---|---|---|---|---|---|
| **Segments** | | | | | | | |
| North America Segment: | | | | | | | |
| Net sales | $100,068 | $106,267 | $127,083 | $104,143 | $116,177 | $112,852 | 6 % |
| Net sales -- Y/Y growth, excluding F/X | 11 % | 11 % | 10 % | 12 % | 16 % | 6 % | N/A |
| Net sales -- TTM | $404,078 | $414,808 | $426,305 | $437,561 | $453,670 | $460,255 | 11 % |
| Operating income | $ 7,517 | $ 4,789 | $ 11,472 | $ 8,267 | $ 9,123 | $ 8,723 | 82 % |
| F/X impact -- favorable (unfavorable) | $ (46) | $ (53) | $ (73) | $ (41) | $ (6) | $ 43 | N/A |
| Operating income -- Y/Y growth (decline), excluding F/X | 49 % | (14)% | 25 % | 42 % | 21 % | 81 % | N/A |
| Operating margin -- % of North America net sales | 7.5 % | 4.5 % | 9.0 % | 7.9 % | 7.9 % | 7.7 % | N/A |
| Operating income -- TTM | $ 28,277 | $ 27,403 | $ 29,619 | $ 32,045 | $ 33,651 | $ 37,585 | 37 % |
| Operating margin -- TTM % of North America net sales | 7.0 % | 6.6 % | 6.9 % | 7.3 % | 7.4 % | 8.2 % | N/A |
| International Segment: | | | | | | | |
| Net sales | $ 36,761 | $ 40,896 | $ 50,724 | $ 39,789 | $ 42,197 | $ 43,108 | 5 % |
| Net sales -- Y/Y growth, excluding F/X | 11 % | 10 % | 11 % | 11 % | 15 % | 8 % | N/A |
| Net sales -- TTM | $149,582 | $154,590 | $161,894 | $168,170 | $173,606 | $175,818 | 14 % |
| Operating income | $ 1,494 | $ 1,199 | $ 1,040 | $ 1,424 | $ 1,717 | $ 1,580 | 32 % |
| F/X impact -- favorable (unfavorable) | $ 338 | $ 302 | $ 319 | $ 347 | $ (43) | $ (125) | N/A |
| Operating income -- Y/Y growth (decline), excluding F/X | 324 % | (31)% | (45)% | 6 % | 18 % | 42 % | N/A |
| Operating margin -- % of International net sales | 4.1 % | 2.9 % | 2.1 % | 3.6 % | 4.1 % | 3.7 % | N/A |
| Operating income -- TTM | $ 5,127 | $ 5,025 | $ 4,750 | $ 5,157 | $ 5,380 | $ 5,761 | 15 % |
| Operating margin -- TTM % of International net sales | 3.4 % | 3.2 % | 2.9 % | 3.1 % | 3.1 % | 3.3 % | N/A |
| AWS Segment: | | | | | | | |
| Net sales | $ 30,873 | $ 33,006 | $ 35,579 | $ 37,587 | $ 42,232 | $ 45,984 | 39 % |
| Net sales -- Y/Y growth, excluding F/X | 17 % | 20 % | 24 % | 28 % | 37 % | 39 % | N/A |
| Net sales -- TTM | $116,378 | $121,932 | $128,725 | $137,045 | $148,404 | $161,382 | 32 % |
| Operating income | $ 10,160 | $ 11,434 | $ 12,465 | $ 14,161 | $ 16,621 | $ 17,773 | 55 % |
| F/X impact -- favorable (unfavorable) | $ (139) | $ (120) | $ (223) | $ (339) | $ (56) | $ 65 | N/A |
| Operating income -- Y/Y growth, excluding F/X | 10 % | 11 % | 19 % | 26 % | 64 % | 55 % | N/A |
| Operating margin -- % of AWS net sales | 32.9 % | 34.6 % | 35.0 % | 37.7 % | 39.4 % | 38.7 % | N/A |
| Operating income -- TTM | $ 42,786 | $ 43,773 | $ 45,606 | $ 48,220 | $ 54,681 | $ 61,020 | 39 % |
| Operating margin -- TTM % of AWS net sales | 36.8 % | 35.9 % | 35.4 % | 35.2 % | 36.8 % | 37.8 % | N/A |

Source sales and operating results, with original source units and period headings. | Original issuer PDF physical page 12.

Source: N01_Q3_release.pdf | Source SHA-256 4a038b395f07bef27476acb27fdf0029ff8fcd1a42d5d021bb0e0a3e29f8cc06

# Primary exhibit E05: Liquidity investments and opening Anthropic note

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The following table summarizes, by major investment type, our cash, cash equivalents, restricted cash, and marketable securities that are measured at fair value on a recurring basis and are categorized using the fair value hierarchy (in millions):

| | December 31, 2025 | September 30, 2026 | | | |
|---|---|---|---|---|---|
| | Total Estimated Fair Value | Cost or Amortized Cost | Gross Unrealized Gains | Gross Unrealized Losses | Total Estimated Fair Value |
| Cash and time deposits | $ 16,145 | $ 15,320 | $ — | $ — | $ 15,320 |
| Level 1: | | | | | |
| Money market funds | 29,777 | 20,882 | — | — | 20,882 |
| Equity securities (1) | 3,687 | | | | 4,073 |
| Level 2: | | | | | |
| U.S. government and agency securities | 5,222 | 7,679 | — | (45) | 7,634 |
| Corporate debt securities | 69,585 | 67,703 | 2 | (119) | 67,586 |
| Asset-backed securities | 1,780 | 1,636 | — | (18) | 1,618 |
| Other financial instruments | 129 | 21 | 1 | (1) | 21 |
| Equity securities (1) | $ — | | | | $ 23 |
| | $ 126,325 | $ 113,241 | $ 3 | $ (183) | $ 117,157 |
| Less: Restricted cash, cash equivalents, and marketable securities (2) | (3,296) | | | | (2,931) |
| Total cash, cash equivalents, and marketable securities | $ 123,029 | | | | $ 114,226 |

(1) The related unrealized gain (loss) recorded in "Other income (expense), net" was $153 million and $(648) million in Q3 2025 and Q3 2026, and $341 million and $(194) million for the nine months ended September 30, 2025 and 2026.

(2) We are required to pledge or otherwise restrict a portion of our cash, cash equivalents, and marketable debt securities primarily as collateral for real estate, amounts due to third-party sellers in certain jurisdictions, debt, standby and trade letters of credit, and licenses of digital media content. We classify cash, cash equivalents, and marketable debt securities with use restrictions of less than twelve months as "Accounts receivable, net and other" and of twelve months or longer as non-current "Other assets" on our consolidated balance sheets. See "Note 4 — Commitments and Contingencies."

The following table summarizes the remaining contractual maturities of our cash equivalents and marketable debt securities as of September 30, 2026 (in millions):

| | Amortized Cost | Estimated Fair Value |
|---|---|---|
| Due within one year | $ 88,196 | $ 88,177 |
| Due after one year through five years | 8,437 | 8,306 |
| Due after five years through ten years | 405 | 404 |
| Due after ten years | 883 | 854 |
| Total | $ 97,921 | $ 97,741 |

Actual maturities may differ from the contractual maturities because borrowers may have certain prepayment conditions.

***Non-Marketable Investments***

*Anthropic* — From Q3 2023 to Q4 2025, we invested $8.0 billion in convertible notes from Anthropic, which are classified as available-for-sale and reported at fair value with unrealized gains and losses included in "Accumulated other comprehensive income (loss)" and as Level 3 assets. In making these estimates, we utilized valuation methods based on information available, including the rights and obligations of the convertible notes, other outstanding classes of securities, observable transactions such as new securities offerings, estimates of expected time to and type of liquidity events and anticipated securities offerings, and discounts for lack of marketability. The convertible notes are subject to our 12% ownership cap, which may be waived at our election.

In Q1 2025 and Q1 2026, a portion of the then-outstanding notes was converted to nonvoting preferred stock. The investments in nonvoting preferred stock are initially recorded at their estimated fair value at the time of each conversion and are accounted for as a component of our equity investments in private companies not accounted for under the equity-method, with future adjustments for observable changes in prices or impairments representing Level 3 fair value measurements



Cash/investment classification and maturities, followed by the opening Anthropic discussion. Current valuation/conversion terms continue on physical/printed pages 12–13. | Original issuer PDF physical page 11.

Source: N11_Q3_10Q_issuer.pdf | Source SHA-256 bafab802cce4b46ea487a8300041f184bed3acbef50cca514b050ee3c0a648c9

# Primary exhibit E06: Lease liability reconciliation

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Our lease liabilities were as follows (in millions):

| | December 31, 2025 | | |
|---|---|---|---|
| | Operating Leases | Finance Leases | Total |
| Gross lease liabilities | $ 106,914 | $ 14,917 | $ 121,831 |
| Less: imputed interest | (17,662) | (2,631) | (20,293) |
| Present value of lease liabilities | 89,252 | 12,286 | 101,538 |
| Less: current portion of lease liabilities | (12,655) | (1,544) | (14,199) |
| Total long-term lease liabilities | $ 76,597 | $ 10,742 | $ 87,339 |

| | September 30, 2026 | | |
|---|---|---|---|
| | Operating Leases | Finance Leases | Total |
| Gross lease liabilities | $ 121,492 | $ 17,955 | $ 139,447 |
| Less: imputed interest | (21,204) | (3,460) | (24,664) |
| Present value of lease liabilities | 100,288 | 14,495 | 114,783 |
| Less: current portion of lease liabilities | (14,093) | (1,866) | (15,959) |
| Total long-term lease liabilities | $ 86,195 | $ 12,629 | $ 98,824 |



Operating and finance lease gross obligations, imputed interest, PV and current portions. | Original issuer PDF physical page 14.

Source: N11_Q3_10Q_issuer.pdf | Source SHA-256 bafab802cce4b46ea487a8300041f184bed3acbef50cca514b050ee3c0a648c9

# Primary exhibit E07: Contractual commitments and Globalstar terms

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**Note 4 — COMMITMENTS AND CONTINGENCIES**

***Commitments***

The following summarizes our principal contractual commitments, excluding open orders for purchases that support normal operations and are generally cancellable, as of September 30, 2026 (in millions):

| | Three Months Ended December 31, | Year Ended December 31, | | | | | |
|---|---|---|---|---|---|---|---|
| | 2026 | 2027 | 2028 | 2029 | 2030 | Thereafter | Total |
| Long-term debt principal and interest | $ 1,413 | $ 16,566 | $ 19,567 | $ 39,185 | $ 12,489 | $ 205,034 | $ 294,254 |
| Operating lease liabilities | 5,320 | 15,889 | 14,938 | 13,760 | 12,213 | 59,372 | 121,492 |
| Finance lease liabilities, including interest | 730 | 1,956 | 2,061 | 1,824 | 1,400 | 9,984 | 17,955 |
| Financing obligations, including interest (1) | 171 | 739 | 752 | 765 | 778 | 8,360 | 11,565 |
| Leases not yet commenced | 2,590 | 12,448 | 11,477 | 12,193 | 11,385 | 114,829 | 164,922 |
| Property and equipment (2) | 13,955 | 63,900 | 25,220 | 25,400 | 28,941 | 2,224 | 159,640 |
| Unconditional purchase obligations (3) | 6,000 | 10,152 | 10,209 | 8,759 | 8,185 | 51,454 | 94,759 |
| Other commitments (4) | 1,446 | 2,692 | 1,381 | 1,092 | 982 | 11,401 | 18,994 |
| Total commitments | $ 31,625 | $ 124,342 | $ 85,605 | $ 102,978 | $ 76,373 | $ 462,658 | $ 883,581 |

(1) Includes non-cancellable financing obligations for fulfillment network and data center facilities. Excluding interest, current financing obligations of $358 million and $426 million are recorded within “Accrued expenses and other” and $7.8 billion and $9.3 billion are recorded within “Other long-term liabilities” as of December 31, 2025 and September 30, 2026. The weighted-average remaining term of the financing obligations was 15.0 years and 14.5 years and the weighted-average imputed interest rate was 2.9% and 3.4% as of December 31, 2025 and September 30, 2026.

(2) Includes unconditional purchase obligations related to long-term agreements to acquire property and equipment that are not reflected on the consolidated balance sheets. For agreements with variable pricing terms, we do not estimate the total obligation beyond any minimum pricing as of the reporting date. For certain arrangements that provide us with extended payment terms for up to one year for purchase orders of technology infrastructure assets, amounts outstanding under such purchase orders for assets received are classified as “Accounts payable” on our consolidated balance sheets and are a component of “Increase (decrease) in property and equipment acquired but not yet paid” in “Note 1 — Supplemental Cash Flow Information.” Payments made under these purchase orders are reported as “Purchases of property and equipment” on our consolidated statements of cash flows.

(3) Includes unconditional purchase obligations related to long-term agreements to procure energy, acquire and license digital media content, and license software that are not reflected on the consolidated balance sheets. For those agreements with variable terms or subject to certain regulatory approvals, we do not estimate the total obligation beyond any minimum quantities and/or pricing, or termination penalties, as of the reporting date. Purchase obligations associated with renewal provisions solely at the option of the content provider are included to the extent such commitments are fixed or a minimum amount is specified. Energy agreements based on actual generation without a fixed or minimum volume commitment are not included. Certain of our energy agreements also provide the right to receive energy certificates.

(4) Includes asset retirement obligations, liabilities associated with digital media content agreements with initial terms greater than one year, and the estimated timing and amounts of payments for rent and tenant improvements associated with build-to-suit lease arrangements that are under construction. Excludes approximately $7.3 billion of income tax contingencies for which we cannot make a reasonably reliable estimate of the amount and period of payment, if any.

On April 13, 2026, Amazon entered into a definitive merger agreement to acquire Globalstar, Inc. (“Globalstar”), a Delaware corporation, for a mix of cash and stock consideration. Under the terms of the merger agreement, prior to closing, Globalstar stockholders will elect to receive, for each share of Globalstar common stock they own, either (i) $90.00 in cash or (ii) 0.3210 shares of Amazon common stock (with a value capped at $90.00 per share). The value of the total consideration will vary based on the price of shares of Amazon common stock and the elections of Globalstar stockholders. The total consideration is also subject to (i) a proration mechanism that caps aggregate cash elections to a maximum of 40% of total Globalstar shares, and automatically converts excess cash consideration into stock consideration on a pro rata basis and (ii) a downward adjustment of a maximum of $110 million in the event Globalstar does not meet certain operational milestones. As of the date of the merger agreement, the acquisition implied a value for Globalstar of approximately $10.9 billion, including its debt. On the date of the merger agreement, we also entered into agreements with Apple Inc. (“Apple”), Globalstar’s largest customer, to provide certain services after the acquisition and to redeem certain equity interests held by Apple in a Globalstar special purpose entity.



Debt service, leases, future PPE and purchase commitments; cash/stock election terms. | Original issuer PDF physical page 15.

Source: N11_Q3_10Q_issuer.pdf | Source SHA-256 bafab802cce4b46ea487a8300041f184bed3acbef50cca514b050ee3c0a648c9

# Primary exhibit E08: Debt instruments and maturities

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**Note 5 — DEBT**

As of September 30, 2026, our total long-term debt obligations are as follows (in millions):

| | Maturities (1) | Stated Interest Rates | Effective Interest Rates | December 31, 2025 | September 30, 2026 |
|---|---|---|---|---|---|
| 2014 Notes issuance of $6.0 billion | 2034 - 2044 | 4.80% - 4.95% | 4.93% - 5.12% | 2,750 | 2,750 |
| 2017 Notes issuance of $17.0 billion | 2027 - 2057 | 3.15% - 4.25% | 3.25% - 4.33% | 12,000 | 12,000 |
| 2020 Notes issuance of $10.0 billion | 2027 - 2060 | 1.20% - 2.70% | 1.26% - 2.77% | 7,750 | 7,750 |
| 2021 Notes issuance of $18.5 billion | 2028 - 2061 | 1.65% - 3.25% | 1.70% - 3.31% | 15,000 | 12,250 |
| April 2022 Notes issuance of $12.8 billion | 2027 - 2062 | 3.30% - 4.10% | 3.40% - 4.15% | 9,750 | 9,750 |
| December 2022 Notes issuance of $8.3 billion | 2027 - 2032 | 4.55% - 4.70% | 4.61% - 4.74% | 5,750 | 5,750 |
| 2025 Notes issuance of $15.0 billion | 2028 - 2065 | 3.90% - 5.55% | 3.99% - 5.62% | 15,000 | 15,000 |
| March 2026 Notes issuance of $37.0 billion (2) | 2028 - 2076 | 3.85% - 6.05% | 3.96% - 6.12% | — | 37,000 |
| March 2026 Euro-denominated Notes issuance of €14.5 billion (3) | 2028 - 2064 | 2.50% - 4.85% | 2.59% - 4.88% | — | 16,427 |
| May 2026 Swiss franc-denominated Notes issuance of CHF2.8 billion | 2029 - 2051 | 0.84% - 2.08% | 0.90% - 2.10% | — | 3,375 |
| June 2026 Canadian Dollar-denominated Notes issuance of C$14.0 billion | 2029 - 2056 | 3.40% - 5.00% | 3.46% - 5.05% | — | 9,834 |
| July 2026 Notes issuance of $25.0 billion (4) | 2029 - 2066 | 4.20% - 6.25% | 4.26% - 6.33% | — | 25,000 |
| September 2026 Sterling-denominated Notes issuance of £4.3 billion | 2029 - 2045 | 5.20% - 6.65% | 5.29% - 6.72% | — | 5,637 |
| 2026 Term Loan | | | | — | 17,500 |
| Other long-term debt | | | | 836 | 864 |
| Total face value of long-term debt | | | | 68,836 | 180,887 |
| Unamortized discount and issuance costs, net | | | | (440) | (935) |
| Less: current portion of long-term debt | | | | (2,748) | (6,827) |
| Long-term debt | | | | $ 65,648 | $ 173,125 |

(1) The weighted-average remaining lives of the 2014, 2017, 2020, 2021, April 2022, December 2022, 2025, March 2026, March 2026 Euro-denominated, May 2026 Swiss franc-denominated, June 2026 Canadian Dollar-denominated, July 2026 Notes, and September 2026 Sterling-denominated Notes were 13.6, 14.7, 17.4, 15.3, 13.0, 3.7, 14.9, 16.2, 9.8, 8.6, 14.5, 14.4, and 9.6 years as of September 30, 2026. The combined weighted-average remaining life of the Notes was 13.9 years as of September 30, 2026.

(2) Includes $2.8 billion of floating rate Notes due in 2028 and 2029. Interest is calculated using the compounded Secured Overnight Financing Rate (“SOFR”) plus 0.44% and 0.59%, respectively, and payable quarterly in arrears.

(3) Includes €1.8 billion of floating rate Notes due in 2028. Interest is calculated using Euro Interbank Offered Rate (“EURIBOR”) plus 0.35%, payable quarterly in arrears.

(4) Includes $750 million of floating rate Notes due in 2029. Interest is calculated using the compounded SOFR plus 0.58%, payable quarterly in arrears.

As of September 30, 2026, we had $162.5 billion of unsecured senior notes outstanding (the “Notes”), including foreign currency-denominated Notes issued for general corporate purposes, the carrying values of which are subject to foreign exchange rate fluctuations. Interest on the Notes is primarily payable semi-annually in arrears except for the fixed rate March 2026 Euro-denominated Notes and May 2026 Swiss franc-denominated Notes for which interest is primarily payable annually in arrears. We may redeem the fixed rate Notes at any time in whole, or from time to time, in part at specified redemption prices, except for the May 2026 Swiss franc-denominated Notes, which we may redeem on or after the applicable par call dates in whole, but not in part. The floating rate Notes are generally not redeemable prior to maturity. We are not subject to any financial covenants under the Notes.

The fair value of the Notes was approximately $61.1 billion and $145.4 billion as of December 31, 2025 and September 30, 2026, which is estimated using Level 2 inputs based on quoted prices for our debt as of those dates.



Principal, coupon/effective rates, carrying adjustments and funding vintages. | Original issuer PDF physical page 18.

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# Primary exhibit E09: Supplier finance and shareholder claims



In June 2026, we entered into a $17.5 billion unsecured delayed single draw term loan with a syndicate of lenders (the “Term Loan”), which we drew on in September 2026. The Term Loan matures in September 2029 and bears interest at the SOFR specified in the Term Loan plus a margin ranging from 0.625% to 0.875% based on our credit ratings. Amounts borrowed and repaid may not be reborrowed. There were $17.5 billion borrowings outstanding under the Term Loan as of September 30, 2026. The carrying value of the Term Loan approximates its fair value, which is estimated using Level 2 inputs.

We enter into supplier financing arrangements that provide for certain purchases of technology infrastructure assets, including a secured loan facility (the “Loan Facility”) providing for borrowings at our discretion, from Q1 2027 through Q3 2028 and subject to variability based on the extent and timing of purchase orders and pricing terms, of up to approximately $80.0 billion, which accrue interest at variable rates and mature five years from the date of each borrowing. We will grant a security interest in certain purchased assets in connection with the Loan Facility. Amounts outstanding for assets purchased under the Loan Facility will be classified as “Long-term debt” on our consolidated balance sheets, and principal payments made will be reported as “Repayments of long-term debt” on our consolidated statements of cash flows.

We have U.S. Dollar and Euro commercial paper programs (the “Commercial Paper Programs”) under which we may from time to time issue unsecured commercial paper up to a total of $30.0 billion (including up to €3.0 billion) at the date of issue, with individual maturities that may vary but will not exceed 397 days from the date of issue. There were no borrowings outstanding under the Commercial Paper Programs as of December 31, 2025 and September 30, 2026. We use the net proceeds from the issuance of commercial paper for general corporate purposes.

As of September 30, 2026, we had an aggregate $20.0 billion in unsecured revolving credit facilities with syndicates of lenders, consisting of a $15.0 billion facility (the “2023 Credit Agreement”) and a $5.0 billion 364-day facility (the “2025 Short-Term Credit Agreement”). The 2023 Credit Agreement had a term that extends to November 2028 and could be extended for one or more additional one-year terms subject to approval by the lenders. The interest rate applicable to outstanding balances under the 2023 Credit Agreement was the applicable benchmark rate specified in the 2023 Credit Agreement plus 0.45%, with a commitment fee of 0.03% on the undrawn portion of the credit facility. The interest rate applicable to outstanding balances under the 2025 Short-Term Credit Agreement was the SOFR specified in the 2025 Short-Term Credit Agreement plus 0.45%, with a commitment fee of 0.03% on the undrawn portion. There were no borrowings outstanding under the 2023 Credit Agreement and the 2025 Short-Term Credit Agreement as of December 31, 2025 and September 30, 2026. In October 2026, we replaced the 2025 Short-Term Credit Agreement with a new $5.0 billion unsecured 364-day revolving credit facility with a syndicate of lenders, which matures in October 2027 and may be extended for one additional period of 364 days subject to approval by the lenders. In October 2026, we also replaced the 2023 Credit Agreement with a new $15.0 billion unsecured revolving credit facility with a syndicate of lenders, which has a term that extends to October 2031 and may be extended for one or more additional one-year terms subject to approval by the lenders.

We also utilize other short-term credit facilities for working capital purposes. There were $455 million and $380 million of borrowings outstanding under these facilities as of December 31, 2025 and September 30, 2026, which were included in “Accrued expenses and other” on our consolidated balance sheets.

Standby letters of credit are guarantees issued by financial institutions on our behalf, which can only be drawn in the event we fail to perform under the underlying obligation, and do not reduce the amount of borrowings available under our credit facilities. As of September 30, 2026, our total standby letter of credit facilities assigned to specific beneficiaries was $21.6 billion, primarily related to our purchase commitments, payment-related services, and workers’ compensation and insurance programs.

**Note 6 — STOCKHOLDERS’ EQUITY**

***Stock Repurchase Activity***

In March 2022, the Board of Directors authorized a program to repurchase up to $10.0 billion of our common stock, with no fixed expiration. There were no repurchases of our common stock during the nine months ended September 30, 2025 or 2026. As of September 30, 2026, we have $6.1 billion remaining under the repurchase program.

***Stock Award Plans***

Employees vest in restricted stock unit awards over the corresponding service term, generally between two and five years. The majority of outstanding restricted stock unit awards are granted at the date of hire or in Q2 as part of the annual compensation review and primarily vest quarterly in the relevant compensation year.



Discretionary secured $80B facility, term loan, revolvers and repurchase/award context. | Original issuer PDF physical page 19.

Source: N11_Q3_10Q_issuer.pdf | Source SHA-256 bafab802cce4b46ea487a8300041f184bed3acbef50cca514b050ee3c0a648c9

# Primary exhibit E10: Segment PPE additions and depreciation

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Property and equipment, net by segment is as follows (in millions):

| | December 31, 2025 | September 30, 2026 |
|---|---|---|
| North America | $ 122,043 | $ 145,087 |
| International | 30,632 | 36,263 |
| AWS | 190,055 | 313,009 |
| Corporate | 14,295 | 14,503 |
| Consolidated | $ 357,025 | $ 508,862 |

Total net additions to property and equipment include technology infrastructure assets and the effect of non-cash activity such as property and equipment acquired but not yet paid.

Total net additions to property and equipment are as follows (in millions):

| | Three Months Ended September 30, | | Nine Months Ended September 30, | |
|---|---|---|---|---|
| | 2025 | 2026 | 2025 | 2026 |
| North America (1) | $ 8,638 | $ 14,530 | $ 25,006 | $ 37,795 |
| International (1) | 1,439 | 6,068 | 5,476 | 10,335 |
| AWS (2) | 28,301 | 57,116 | 64,808 | 147,236 |
| Corporate | 507 | 548 | 1,805 | 1,544 |
| Consolidated | $ 38,885 | $ 78,262 | $ 97,095 | $ 196,910 |

(1) Includes property and equipment added under finance leases of $432 million and $845 million in Q3 2025 and Q3 2026, and $507 million and $1.3 billion for the nine months ended September 30, 2025 and 2026.

(2) Includes property and equipment added under finance leases of $545 million and $627 million in Q3 2025 and Q3 2026, and $1.5 billion and $2.3 billion for the nine months ended September 30, 2025 and 2026.

Depreciation and amortization expense on property and equipment, including corporate property and equipment, are allocated to all segments based on usage.

Total depreciation and amortization expense, by segment, is as follows (in millions):

| | Three Months Ended September 30, | | Nine Months Ended September 30, | |
|---|---|---|---|---|
| | 2025 | 2026 | 2025 | 2026 |
| North America | $ 4,001 | $ 4,566 | $ 11,273 | $ 13,346 |
| International | 1,276 | 1,346 | 3,592 | 3,916 |
| AWS | 5,648 | 9,230 | 14,882 | 24,583 |
| Consolidated | $ 10,925 | $ 15,142 | $ 29,747 | $ 41,845 |



Owned asset additions, depreciation, noncash additions and segment denominators. | Original issuer PDF physical page 26.

Source: N11_Q3_10Q_issuer.pdf | Source SHA-256 bafab802cce4b46ea487a8300041f184bed3acbef50cca514b050ee3c0a648c9

# November 2 fund letter: capacity and funding cross-check

Private owner-source addendum | November 3, 2026

The November 2 Pershing Square letter strengthens the qualitative case for cloud demand, custom silicon, agents and paid compute capacity. Its September 30 consensus table forecasts AWS revenue of $234B, $304B and $361B for 2027-29. The selected model already expects about $248B, $348B and $453B. Current issuer results and management's October 29 call remain the operating anchors. Q3 AWS revenue annualizes to $183.936B; the letter uses an unclear-vintage $170B scale. The issuer's 400M shopping-user figure is the current anchor. AI-margin comparisons retain management's qualification that the businesses are being compared at the same stage of evolution.

The letter illustrates $40-50B of capital and $15-20B of annual revenue per gigawatt, with a 50% incremental operating margin. If every dollar of the modeled $240B AWS allocation within 2027 capital spending qualified, that arithmetic spans 4.8-6.0GW and $72-120B of annual revenue. The selected 2027 AWS increase over the planned 2026 anchor is about $72B. Eligibility, readiness, acceptance, utilization, manufacturing, support and collections need their own evidence. I retain the company-specific cost and paid-capital bridges and the 80% planned / 20% lower-conversion weights.

Funding remains material. Selected paths require expected new financing shares of about 2.48% of the current diluted proxy by 2030; the largest selected equity-only route reaches about 20.01%, equivalent to about 16.7% of post-issue ownership before other claims. The fund's broad capital-access language leaves those conditional requirements unresolved. Every selected lower-demand path continues to pay planned capital. The existing capital-minus-20% calculation remains a conditional diagnostic.

The full affected-company review retains the $319.49 Q4 2027 ceiling, 20x operating-profit method and analytical Base 78. Protected Excel Base remains 82. The $268.96 bound for recurring guidance costs in every quarter remains visible. The 19-page Nomura Samsung report contributes memory-sector context and supplies no additional AWS estimate bridge. Its Samsung-specific forecast issues enter a separate review. Both original sources remain preserved while other company obligations are unfinished.

| Year | Selected AWS revenue ($B) | Fund dated consensus ($B) | Selected premium |
|---|---|---|---|
| 2027 | 248.16 | 234 | 6.05% |
| 2028 | 347.90 | 304 | 14.44% |
| 2029 | 453.24 | 361 | 25.55% |

Source: Privately supplied Pershing Square letter, November 2, 2026, physical pages 11-12, 15-18 and 20; full 31-page read preserved. Nomura Samsung Electronics report, October 29, 2026, full 19-page visual read preserved. The letter table uses September 30 Bloomberg consensus. Source originals remain in the private evidence bundle.